



BAKER TILLY
Edirisinghe & Co.
Chartered Accountants

INDEPENDENT AUDITORS' REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Alliance Finance Company PLC, ("the Company"), and the consolidated financial statements of the Company and its subsidiaries ("Group"), which comprise the statement of financial position as at March 31, 2016, and the statement of profit or loss and comprehensive income, statement of changes in equity and, statement of cash flow for the year then ended, and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Company's preparation of the financial statement that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at March 31, 2016 and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.



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Ms. M. K. K. Karanadasa, ACA, ACMA, Partner; P. K. A. M. Aburukoon, ACA, BMT, Partner
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INDEPENDENT AUDITORS' REPORT (CONTINUED)

Report on Other Legal and Regulatory Requirements

As required by section 163(2) of the Companies Act No.07 of 2007, we state the following:

- a) The basis of opinion and scope and limitations of the audit are as stated above.
- b) In our opinion:
- we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - the financial statements of the Company give a true and fair view of its financial position as at March 31, 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards,
 - the financial statements of the Company and the Group comply with the requirements of Sections 151 and 153 of the Companies Act No. 07 of 2007.

Edirisinghe & Co

Edirisinghe & Co.,
Chartered Accountants
Colombo
31-May-16



Alliance Finance Company PLC
STATEMENT OF PROFIT OR LOSS
For the Financial year ended 31st March 2016

		Company	2015	Group	2015
	Notes	2016	Rs.	2016	Rs.
		Rs.		Rs.	
Gross Income	4	4,575,969,829	4,256,664,351	4,616,615,382	4,588,367,624
Interest income		4,088,411,305	3,570,390,145	4,090,199,942	3,575,628,564
Interest expenses		(1,868,434,772)	(1,817,341,905)	(1,868,434,772)	(1,821,731,464)
Net Interest Income	5	2,219,976,533	1,753,048,240	2,221,765,170	1,753,897,100
Fee and commission income		293,843,456	229,331,256	326,083,961	248,799,377
Fee and commission expenses		(102,524,846)	(80,732,860)	(102,534,576)	(82,588,840)
Net Fee and Commission Income	6	191,318,610	148,598,396	223,549,385	166,210,537
Net gain/(loss) from trading	7	19,100,295	46,210,376	25,118,643	47,990,393
Other operating income (net)	8	174,614,773	410,732,574	175,212,836	715,949,290
Total Operating Income		2,605,010,211	2,358,589,587	2,645,646,034	2,684,047,320
Impairment (charges) / reversal for loans and other losses	9	(165,552,247)	(398,338,720)	(165,552,247)	(398,338,720)
Gold loan auction losses		(168,622,218)	(424,360,708)	(168,622,218)	(424,360,708)
Net Operating Income		2,270,835,746	1,535,890,158	2,311,471,569	1,861,347,892
Operating Expenses					
Personnel expenses	10	(750,965,495)	(524,922,946)	(758,476,851)	(528,957,748)
Other operating expenses	11	(815,792,384)	(633,633,874)	(824,523,377)	(646,246,049)
Depreciation of property & equipment		(99,934,198)	(85,702,246)	(101,019,509)	(86,135,322)
Total operating expenses		(1,666,692,077)	(1,244,259,066)	(1,684,019,737)	(1,261,339,119)
Operating Profit before Value Added Tax on Financial Services		604,143,668	291,631,093	627,451,832	600,008,774
Value Added Tax on Financial Services		(84,125,542)	(30,020,765)	(84,125,542)	(30,020,765)
Operating Profit after Value Added Tax on Financial Services		520,018,126	261,610,328	543,326,290	569,988,009
Share of profit from associates		14,258,539	15,835,911	14,258,539	15,835,911
Loss on change of interest in associate		(3,153,928)	-	(3,153,928)	-
Profit before Taxation from Operations		531,122,737	277,446,239	554,430,901	585,823,920
Provision for income taxation	12	(115,805,731)	(74,543,166)	(122,106,751)	(79,155,981)
Profit for the period		415,317,006	202,903,073	432,324,150	506,667,939
Profit attributable to :					
Equity holders of the company		415,317,006	202,903,073	426,191,375	364,061,201
Non controlling interest		-	-	6,132,776	142,606,738
Profit for the year		415,317,006	202,903,073	432,324,150	506,667,939
Basic Earnings Per Share	13	171	83	175	150
Dividend Per Share (Rs.)	14	29	23	29	23

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC**STATEMENT OF COMPREHENSIVE INCOME****For the Financial year ended 31st March 2016**

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Profit for the year	<u>415,317,006</u>	<u>202,903,073</u>	<u>432,324,150</u>	<u>506,667,939</u>
Other Comprehensive Income				
Other Comprehensive Income to be Reclassify to Profit or Loss				
<u>Net gains and losses on available-for-sale financial assets:</u>				
Sri Lanka government securities	(1,250,070)	9,398,622	(1,250,070)	9,398,622
Equity securities - un quoted	<u>(14,366,292)</u>	<u>3,198,521</u>	<u>(14,366,292)</u>	<u>3,198,521</u>
Net other comprehensive income to reclassified to profit or loss	<u>(15,616,362)</u>	<u>12,597,143</u>	<u>(15,616,362)</u>	<u>12,597,143</u>
Other Comprehensive Income not to be Reclassified to Profit or Loss				
Actuarial gains /(losses) on defined benefit plans	16,181,388	(23,230,242)	16,269,996	(23,187,317)
Deferred tax effect on above	<u>(4,530,789)</u>	<u>13,797,230</u>	<u>(4,530,789)</u>	<u>13,868,194</u>
Net Other Comprehensive Income not be Classified to Profit or Loss	<u>11,650,599</u>	<u>(9,433,012)</u>	<u>11,739,207</u>	<u>(9,319,123)</u>
Total Comprehensive Income for the year	<u>411,351,244</u>	<u>206,067,204</u>	<u>428,446,996</u>	<u>509,945,959</u>
Attributable to:				
Equity holders of the company	411,351,244	206,067,204	422,282,272	367,331,482
Non controlling interest	<u>-</u>	<u>-</u>	<u>6,164,724</u>	<u>142,614,477</u>
Total Comprehensive Income for the year	<u>411,351,244</u>	<u>206,067,204</u>	<u>428,446,996</u>	<u>509,945,959</u>

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC
STATEMENT OF FINANCIAL POSITION
As at 31st March 2016

		Company		Group	
	Notes	31.03.2016	31.03.2015	31.03.2016	31.03.2015
		Rs.	Rs.	Rs.	Rs.
Assets					
Cash and cash equivalents	17	143,982,481	118,573,049	177,180,931	168,247,616
Repurchase agreements		735,591,742	602,960,253	735,591,742	602,960,253
Placements with banks & financial institutions		1,834,356,115	390,218,289	1,834,356,115	390,218,289
Financial investments - held for trading	18	1,081,001,402	1,360,730,696	1,159,449,583	1,433,160,528
Loans and advances	19	5,603,981,321	3,729,449,078	5,604,087,836	3,729,589,128
Lease rentals receivable & stock out on hire	20	13,283,110,374	10,069,293,475	13,283,110,374	10,069,293,475
Hire purchase rentals receivable & stock out on hire	21	462,569,201	1,124,197,171	462,569,201	1,124,197,171
Financial investments - available for sale	22	450,254,097	539,714,872	463,754,097	539,714,872
Other trading stocks	23	207,857,305	290,921,018	207,857,305	290,921,018
Other financial assets	24	181,511,534	134,825,966	178,653,619	121,319,177
Other non financial assets	25	113,445,442	127,210,968	118,146,354	128,365,993
Income tax refund due	26	-	50,348,792	-	50,348,792
Investments in associates	27	68,158,680	69,875,364	68,158,680	69,875,364
Investments in subsidiaries	28	16,924,038	16,924,038	-	-
Property, plant & equipment	29	1,460,365,873	1,133,327,208	1,461,115,815	1,135,162,463
Deferred tax assets		213,869,894	151,123,290	214,166,914	151,398,849
Total Assets		25,856,979,499	19,909,693,527	25,968,198,566	20,004,772,988
Liabilities					
Due to banks	30	8,328,978,742	2,929,071,347	8,353,691,241	2,952,033,605
Due to customers	31	10,464,149,566	10,344,065,933	10,464,149,566	10,344,065,933
Debt instruments issued and other borrowed funds	32	3,062,414,964	3,203,466,448	3,062,414,964	3,203,466,448
Other financial liabilities	33	884,210,568	700,836,812	890,116,107	711,730,812
Other non financial liabilities	34	35,880,403	39,590,147	35,880,403	41,825,211
Income tax liability	35	62,954,733	-	67,590,682	-
Retirement benefit liability	36	91,237,518	99,773,999	92,298,302	100,758,137
Deferred tax liabilities	37	192,818,369	143,545,449	192,934,106	143,856,645
Total Liabilities		23,122,644,863	17,460,350,135	23,159,075,371	17,497,736,791
Shareholders' Funds					
Stated capital	38	24,300,000	24,300,000	24,300,000	24,300,000
Retained earnings	39	816,087,109	598,539,503	857,799,949	629,321,313
Reserves	40	1,893,947,527	1,826,503,888	1,893,947,526	1,826,503,889
Total Equity Attributable to Equity Holders of the Company		2,734,334,636	2,449,343,391	2,776,047,475	2,480,125,202
Non controlling interest		-	-	33,075,720	26,910,995
Total Equity		2,734,334,636	2,449,343,391	2,809,123,196	2,507,036,197
Total Liabilities and Shareholders' Funds		25,856,979,499	19,909,693,527	25,968,198,566	20,004,772,988
Net assets value per share (Rs.)		1,125	1,008	1,142	1,021

Accounting policies & notes to accounts form an integral part of these Financial Statements.

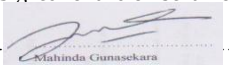
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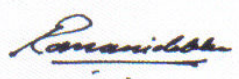
I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.

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Chamindra de Silva
Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Signed for and on behalf of the Board by,

.....

Mahinda Gunasekara
Director

.....

R.K.E.P. de Silva
Deputy Chairman & Managing Director

31-May-16
Colombo

Alliance Finance Company PLC
STATEMENT OF CHANGES IN EQUITY
For the Financial year ended 31st March 2016

Company	Stated Capital Rs.	Statutory Reserve Rs.	Capital Reserve Rs.	Dividend Equalization Reserve Rs.	Diversification Risk Reserve Rs.	General Reserve Rs.	Development Reserve Rs.	Investment Fund Reserve Rs.	Available for Sale Reserve Rs.	Non Controlling Interest Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 April 2014	24,300,000	377,657,400	479,906,644	7,000,000	255,000,000	453,300,000	108,141,275	83,216,780	108,517,572	-	494,269,442	2,391,309,114
Profit for the year	-	-	-	-	-	-	-	-	-	-	202,903,073	202,903,073
Other comprehensive income, net of tax	-	-	-	-	-	-	-	-	12,597,143	-	(9,433,012)	3,164,131
Transfer to statutory reserve	-	40,600,000	-	-	-	-	-	-	-	-	(40,600,000)	-
Transfer of AFS reserve on disposal	-	-	-	-	-	-	-	-	(99,432,926)	-	-	(99,432,926)
Dividend paid	-	-	-	-	-	-	-	-	-	-	(48,600,000)	(48,600,000)
Balances as at 31st March 2015	<u>24,300,000</u>	<u>418,257,400</u>	<u>479,906,644</u>	<u>7,000,000</u>	<u>255,000,000</u>	<u>453,300,000</u>	<u>108,141,275</u>	<u>83,216,780</u>	<u>21,681,789</u>	<u>-</u>	<u>598,539,503</u>	<u>2,449,343,391</u>
Profit for the year	-	-	-	-	-	-	-	-	-	-	415,317,006	415,317,006
Other comprehensive income, net of tax	-	-	-	-	-	-	-	-	(15,616,362)	-	11,650,599	(3,965,762)
Transfer to statutory reserve	-	83,060,000	-	-	-	-	-	-	-	-	(83,060,000)	-
Transfer to General reserve	-	-	-	(7,000,000)	(255,000,000)	370,141,275	(108,141,275)	-	-	-	-	-
Dividend paid	-	-	-	-	-	-	-	-	-	-	(126,360,000)	(126,360,000)
Balances as at 31st March 2016	<u>24,300,000</u>	<u>501,317,400</u>	<u>479,906,644</u>	<u>-</u>	<u>-</u>	<u>823,441,275</u>	<u>-</u>	<u>83,216,780</u>	<u>6,065,427</u>	<u>-</u>	<u>816,087,109</u>	<u>2,734,334,636</u>
Group												
Balance as at 1 April 2014	24,300,000	377,657,400	479,906,644	7,000,000	255,000,000	453,300,000	108,141,275	83,216,780	108,517,572	-	494,269,442	2,391,309,113
Non controlling Interest arising from business combination	-	-	-	-	-	-	-	-	-	16,340,419	-	16,340,419
Profit for the period	-	-	-	-	-	-	-	-	-	142,606,738	364,061,201	506,667,939
Transfer of realized gain/(loss) on available for sale financial assets	-	-	-	-	-	-	-	-	(99,432,926)	-	-	(99,432,926)
Other comprehensive income, net of tax	-	-	-	-	-	-	-	-	12,597,143	-	(9,319,123)	3,278,020
Transfer to statutory reserve	-	40,600,000	-	-	-	-	-	-	-	-	(40,600,000)	-
Repurchase of shares	-	-	-	-	-	-	-	-	-	(67,118,082)	(118,981,967)	(186,100,049)
Dividend paid	-	-	-	-	-	-	-	-	-	(64,918,080)	(60,108,239)	(125,026,319)
Balances as at 31st March 2015	<u>24,300,000</u>	<u>418,257,400</u>	<u>479,906,644</u>	<u>7,000,000</u>	<u>255,000,000</u>	<u>453,300,000</u>	<u>108,141,275</u>	<u>83,216,780</u>	<u>21,681,789</u>	<u>26,910,995</u>	<u>629,321,313</u>	<u>2,507,036,197</u>
Profit for the period	-	-	-	-	-	-	-	-	-	6,132,776	426,191,375	432,324,150
Other comprehensive income, net of tax	-	-	-	-	-	-	-	-	(15,616,362)	31,949	11,707,261	(3,877,153)
Transfer to General reserve	-	-	-	(7,000,000)	(255,000,000)	370,141,275	(108,141,275)	-	-	-	-	-
Transfer to statutory reserve	-	83,060,000	-	-	-	-	-	-	-	-	(83,060,000)	-
Dividend paid	-	-	-	-	-	-	-	-	-	-	(126,360,000)	(126,360,000)
Balances as at 31st March 2016	<u>24,300,000</u>	<u>501,317,400</u>	<u>479,906,644</u>	<u>-</u>	<u>-</u>	<u>823,441,275</u>	<u>-</u>	<u>83,216,780</u>	<u>6,065,427</u>	<u>33,075,720</u>	<u>857,799,949</u>	<u>2,809,123,195</u>

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC

STATEMENT OF CASH FLOWS

For the Financial year ended 31st March 2016

Cash Flows From / (Used in) Operating Activities	Company		Group	
	31.03.2016 Rs.	31.03.2015 Rs.	31.03.2016 Rs.	31.03.2015 Rs.
Profit before Income Tax Expense	531,122,737	277,446,239	554,430,901	585,823,920
Adjustments for;				
Depreciation of property, plant & equipment	99,934,198	85,702,246	101,019,509	86,135,322
Impairment provision	(153,371,135)	822,699,428	(153,371,135)	822,699,428
Interest on fixed deposits, commercial paper & treasury bills	(177,852,634)	(154,789,654)	(179,641,272)	(160,028,072)
Profit /(loss) on sale of securities	(8,235,404)	(24,555,392)	(8,235,404)	(24,555,392)
Fair value gain or loss on equity investments (FVTPL)	(261,767)	4,528,350	(261,767)	4,528,350
Profit /(loss) on AFS financial assets	(28,155,635)	(193,390,454)	(27,801,222)	(584,243,570)
Diminution/(appreciation) in value of investments	32,924,518	(4,959,690)	32,924,518	(4,959,690)
Loss/(Profit) on disposal of property & equipment	(19,658,346)	2,363,398	(19,658,346)	2,363,398
Provision/(reversal) for defined benefit plans	32,112,383	26,769,758	32,397,636	26,629,127
Dividend received	(8,305,081)	(113,872,864)	(8,305,081)	(17,845,679)
Gain on bargain purchase	-	-	-	(10,641,616)
Loss on change of interest in associate	3,153,928	-	3,153,928	-
Loss on Disposal of Associates	354,413	-	354,413	-
Share of profit from associates	(14,258,539)	(15,835,911)	(14,258,539)	(15,835,911)
Operating Profit before Working Capital Changes	289,503,635	712,105,455	312,748,138	710,069,616
(Increase)/decrease in trading stock	59,143,229	(197,679,362)	59,143,229	(197,679,362)
(Increase)/decrease in loans and advances	(1,876,466,336)	(575,802,009)	(1,876,432,801)	(575,942,056)
(Increase)/decrease in lease rentals receivable & stock out on hire	(3,100,799,005)	(1,783,268,411)	(3,100,799,005)	(1,783,268,411)
(Increase)/decrease in hire purchase rentals Receivable & Stock out on h	703,915,304	542,404,996	703,915,304	542,404,996
(Increase)/decrease in fixed deposits & repurchase agreements	(1,576,769,315)	117,491,319	(1,576,769,315)	117,491,319
(Increase)/decrease in other financial assets	(46,685,568)	28,041,651	(57,334,441)	28,041,651
(Increase)/decrease in other non financial assets	13,765,526	(226,727)	10,219,639	(226,727)
Increase/(decrease) in amounts due to customers	120,083,633	(857,522,573)	120,083,633	(857,522,573)
Increase/(decrease) in other financial liabilities	183,524,338	340,057,734	178,655,880	340,057,734
Increase/(decrease) in other non financial liabilities	(3,709,744)	21,741,004	(5,944,808)	20,637,941
Cash used in from operations	(5,234,494,304)	(1,652,656,923)	(5,232,514,548)	(1,655,935,872)
Retirement benefit liabilities paid	(4,467,476)	(931,907)	(4,707,476)	(931,907)
Investment in gratuity fund	(20,000,000)	(12,550,308)	(20,000,000)	(12,550,308)
Taxes paid	(15,101,198)	-	(16,983,189)	-
Net cash used in operating activities	(5,274,062,978)	(1,666,139,138)	(5,274,205,213)	(1,669,418,087)
Cash Flows from / (Used in) Investing Activities				
Acquisition of property, plant & equipment	(450,672,209)	(106,738,856)	(450,672,209)	(109,007,187)
Proceeds from sales of property, plant & equipment	67,278,176	5,700,310	67,278,176	5,700,310
Net dividend and proceeds received from associates	8,288,803	-	8,288,803	-
Proceeds from disposal of AFS financial assets	44,335,336	239,700,429	44,335,336	767,721,672
Net sales/ (purchases) of financial investments held -for- trading	238,307,604	141,925,407	232,289,255	69,495,574
Net sale/(purchase) of financial investments - available- for- sale	73,281,074	(400,915,910)	59,426,660	(400,915,910)
Dividend received	8,305,081	113,872,864	8,305,081	17,845,679
Interest on fixed deposits, commercial paper & treasury bills	177,852,634	154,789,654	179,641,272	160,028,073
Net cash generated from investing activities	166,976,499	148,333,900	148,892,375	510,868,211
Cash Flows from / (Used in) Financing Activities				
Proceeds from debentures and increase in borrowed funds	(141,051,484)	803,093,386	(141,051,484)	803,093,387
Cost of share repurchases	-	-	-	(186,100,000)
Net increase /(decrease) in other borrowings	5,399,907,395	744,354,862	5,401,657,636	767,317,120
Net increase /(decrease) in investments in subsidiaries and associates	-	-	-	(70,016,736)
Dividends paid	(126,360,000)	(48,600,000)	(126,360,000)	(125,026,319)
Net cash generated from financing activities	5,132,495,911	1,498,848,248	5,134,246,152	1,189,267,452
Net Increase/(Decrease) in Cash and Cash Equivalents	25,409,432	(18,956,991)	8,933,314	30,717,576
Cash and cash equivalents at the beginning of the year	118,573,049	137,530,040	168,247,616	137,530,040
Cash and cash equivalents at the end of the year	143,982,481	118,573,049	177,180,931	168,247,616
Movement in Cash and Cash Equivalent	25,409,432	(18,956,991)	8,933,314	30,717,576

Note : Reporting cash flows from operating activities

The Company reports cash flows from operating activities by using the indirect method. The indirect method – whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows – is shown in the above.

Alliance Finance Company PLC
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	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
4 GROSS INCOME				
Interest income (Note 5.1)	4,088,411,305	3,570,390,145	4,090,199,942	3,575,628,564
Fee & commission income (Note No 6)	293,843,456	229,331,256	326,083,961	248,799,377
Net trading income (Note No 7)	19,100,295	46,210,376	25,118,643	47,990,393
Other operating income (Note No 8)	174,614,773	410,732,574	175,212,836	715,949,290
	4,575,969,829	4,256,664,351	4,616,615,382	4,588,367,624
5 NET INTEREST INCOME				
5.1 Interest Income				
Financial investments - Held for trading	65,030,439	69,281,874	65,030,439	69,281,874
Loans and advances (Note No. 5.1.1)	1,237,413,538	793,788,724	1,237,413,538	793,788,724
Lease rentals receivable	2,495,654,669	2,260,891,956	2,495,654,669	2,260,891,956
Hirepurchase & consumer durables	177,490,462	360,919,811	177,490,462	360,919,811
Financial investments - Available for sale	42,761,386	37,954,465	42,761,386	37,954,465
Repurchase agreements	20,699,738	11,458,573	20,699,738	11,458,573
Placements with banks & other financial institutions	49,361,072	36,094,742	51,149,710	41,333,161
Total interest income	4,088,411,305	3,570,390,145	4,090,199,942	3,575,628,564
5.1.1 Interest Income from Loans & Advances				
Interest income from loans	315,955,735	195,161,257	315,955,735	195,161,257
Interest income from pledge loan	49,865,949	22,094,420	49,865,949	22,094,420
Interest income from gold loan	101,425,983	126,651,769	101,425,983	126,651,769
Interest income from micro finance	770,165,871	449,881,278	770,165,871	449,881,278
	1,237,413,538	793,788,724	1,237,413,538	793,788,724
5.2 Interest Expenses				
Due to banks	389,424,921	176,235,916	389,424,921	176,261,422
Due to customers (fixed deposits & savings accounts)	1,033,184,886	1,233,551,247	1,033,184,886	1,233,551,247
Debt instruments issued and other borrowed funds	442,920,486	395,762,711	442,920,486	395,762,711
Other financial liabilities	2,904,479	11,792,031	2,904,479	16,156,084
Total interest expenses	1,868,434,772	1,817,341,905	1,868,434,772	1,821,731,464
Net interest income	2,219,976,533	1,753,048,240	2,221,765,171	1,753,897,100
6 NET FEE AND COMMISSION INCOME				
6.1 Credit related fees and commissions				
Insurance brokering commissions / Reimbursements	-	-	-	37,747,335
Service charges	160,802,052	134,716,133	160,802,052	134,716,133
Transfer fees	45,492,318	29,852,004	45,492,318	29,852,004
Other fees	48,739,891	28,909,045	48,739,891	28,909,045
Total fee and commission income	293,843,456	229,331,256	326,083,961	248,799,377
6.2 Fee and Commission Expenses				
Brokerage fees	(79,956,558)	(54,693,889)	(79,956,558)	(54,693,889)
Credit related fees	(22,568,288)	(26,038,971)	(22,578,018)	(27,894,951)
Total fee and commission expenses	(102,524,846)	(80,732,860)	(102,534,576)	(82,588,840)
Net Fee and Commission Income	191,318,610	148,598,396	223,549,385	166,210,537
7 NET GAINS /(LOSSES) FROM TRADING				
Profit /(loss) on sale of financial investments held for trading	8,235,404	29,515,082	8,235,404	29,515,082
Profit /(loss) on sale of foreign currencies	(227,108)	(7,274)	(227,108)	(7,274)
Income from trust investment	43,754,750	21,230,918	49,773,098	21,230,918
Fair value gain / (loss) on financial investments held for trading	(32,662,751)	(4,528,350)	(32,662,751)	(2,748,333)
	19,100,295	46,210,376	25,118,643	47,990,393

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8 OTHER OPERATING INCOME

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Income from investment securities - other investments	8,305,081	113,872,864	8,305,081	17,845,679
Profit/(loss) on disposal of property & equipment	19,658,346	(2,363,398)	19,658,346	(2,363,398)
Profit on sale of vehicles	20,232,478	3,289,842	20,232,478	3,289,842
Rental income from hiring vehicles	44,696,882	52,372,161	44,696,882	52,372,161
Income from sale of tiles & furnitures	290,831	8,409,562	290,831	8,409,562
Bad debt recoveries	28,062,262	5,355,628	28,062,262	5,355,628
Income from disposal of AFS investments (Note No. 8.1)	28,155,635	193,390,454	27,801,222	584,243,570
Loss on liquidation of associate	(354,413)	-	-	-
Profit on sale of real estate	-	338,700	-	338,700
Gain on bargaining purchase	-	-	-	10,641,616
Others	25,567,671	36,066,761	26,165,734	35,815,930
Total Other Operating Income	174,614,773	410,732,574	175,212,836	715,949,290

8.1 Net Gain /(Loss) From Disposal of Available For Sale Financial Assets

Proceeds from disposal of available for sale financial assets	44,335,336	239,700,429	43,980,923	767,721,671
Carrying value of available for sale financial assets disposed	(30,549,631)	(103,735,489)	(30,549,631)	(348,614,926)
Transfer from available for financial assets reserve	14,369,930	57,425,514	14,369,930	165,136,825
	<u>28,155,635</u>	<u>193,390,454</u>	<u>27,801,222</u>	<u>584,243,570</u>

During the year, the Company disposed of its shareholding of 852,603 shares in DFCC Vardena Bank.

9 IMPAIRMENT CHARGES FOR LOANS AND OTHER LOSSES

Impairment Charges / (Write Back)

Lease rentals receivable	(113,017,894)	(10,381,194)	(113,017,894)	(10,381,194)
Hirepurchase rentals receivable	(42,287,334)	(23,380,929)	(42,287,334)	(23,380,929)
Loans and advances	1,934,093	59,236,449	1,934,093	59,236,449
	<u>(153,371,135)</u>	<u>25,474,326</u>	<u>(153,371,135)</u>	<u>25,474,326</u>

Bad Debts Wrrien off

Lease rentals receivable	292,934,326	297,807,143	292,934,326	297,807,143
Hirepurchase rentals receivable	23,922,931	67,936,228	23,922,931	67,936,228
Loans and advances	2,066,125	7,121,023	2,066,125	7,121,023
	<u>318,923,382</u>	<u>372,864,394</u>	<u>318,923,382</u>	<u>372,864,394</u>
	<u>165,552,247</u>	<u>398,338,720</u>	<u>165,552,247</u>	<u>398,338,720</u>

10 PERSONNEL EXPENSES

Salaries and bonus	577,616,878	381,556,209	583,423,600	384,976,018
Gratuity charge/ (reversal) for the year	32,112,383	26,874,316	32,397,636	26,629,127
Employer's contribution to EPF	86,345,572	66,763,467	86,994,990	67,118,517
Employer's contribution to ETF	12,937,326	10,029,759	13,099,680	10,118,521
Staff welfare	22,180,056	17,721,967	22,748,065	18,138,337
Other allowances & staff related expenses	19,773,280	21,977,228	19,812,880	21,977,228
	<u>750,965,495</u>	<u>524,922,946</u>	<u>758,476,851</u>	<u>528,957,748</u>

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11 OTHER OPERATING EXPENSES

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
11.1 Auditors fees and expenses				
Auditors fees	716,000	660,000	822,150	715,685
Non audit fees and expenses	1,148,517	729,178	1,200,317	780,908
Professional fees	8,085,877	4,986,033	8,698,677	14,430,658
Office administration & establishment expenses	345,306,860	274,949,409	346,904,871	275,683,470
Advertising & business promotion expenses	62,428,752	53,711,297	62,428,752	53,741,899
Motor vehicle running & maintenance	315,722,661	234,261,510	318,033,148	236,126,789
Impairment loss on unquoted securities	1,173,733	962,758	1,173,733	962,758
Others	81,209,984	63,373,689	85,261,729	63,803,882
	<u>815,792,384</u>	<u>633,633,874</u>	<u>824,523,377</u>	<u>646,246,049</u>
11.2 Depreciation / amortisation of property, plant and equipment	99,934,198	85,702,246	101,019,509	86,135,322

12 TAXATION

12.1 The major components of income tax expense

Current Income Tax Expenses

Current tax on profit for the year (Note No. 12.2)	128,404,723	-	134,173,937	4,580,152
Under/ (over) provision of current taxes in respect of prior years	1,227,399	(25,544,230)	1,976,125	(25,544,230)
Share of income tax expenses for associates	4,178,079	5,349,902	4,178,079	5,349,902
	<u>133,810,201</u>	<u>(20,194,328)</u>	<u>140,328,141</u>	<u>(15,614,176)</u>

Deferred Tax Expenses

Deferred taxation charge/ (reversal) (Note No. 12.5)	(18,004,470)	94,737,494	(18,221,390)	94,621,451
	<u>115,805,731</u>	<u>74,543,166</u>	<u>122,106,751</u>	<u>79,007,275</u>

Current Tax on profit for the year - Subsidiary

Alfinco Insurance Brokers (Pvt) Ltd			6,301,020	4,541,851
			<u>6,301,020</u>	<u>4,541,851</u>

12.2 Reconciliation of Accounting Profit and Taxable Income

A reconciliation between the tax expense and the accounting profit multiplied by government of Sri Lanka's tax rate for the years ended 31 March 2016 and 2015 is as follows.

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Accounting profit before income taxation	531,122,737	277,446,239	554,430,901	585,823,920
Tax effect of non deductible expenses	8,706,074,673	7,505,847,289	8,709,850,661	7,261,559,696
Tax effect of other allowable credits	(8,773,943,479)	(7,472,634,752)	(8,774,404,947)	(7,472,634,752)
Tax effect of exempt income	(4,460,280)	(143,657,584)	(10,478,628)	(143,657,584)
Tax effect of Tax losses claimed	(205,355)	(214,733,595)	(205,355)	(214,733,595)
	<u>458,588,296</u>	<u>(47,732,401)</u>	<u>479,192,632</u>	<u>16,357,686</u>
Tax rate at 28%	28%	28%	28%	28%
Income tax for the year	<u>128,404,723</u>	<u>-</u>	<u>134,173,937</u>	<u>4,580,152</u>

12.3 Applicable Income tax rates

Alliance Finance Company PLC	28%
Alfinco Insurance Brokers (Pvt) Ltd	28%

12.4 Notional Tax Credit for Withholding Tax on Government Securities on Secondary Market Transactions

The Inland Revenue Act No.10 of 2006, provided that a company which derives interest income from the secondary market transactions in Government Securities (on or after April 1, 2002) would be entitled to a notional tax credit (being one ninth of the net interest income) provided such interest income forms part of the statutory income of the Company for that year of assessment.

Accordingly the net interest income earned from the secondary market transactions in Government Securities for the year, has been grossed up in the Financial Statements & the resulting notional tax credit amounts to Rs.13.60 Mn /- (2015 - Rs.11.9 Mn /-)

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12.5 Deferred tax expense/(income)

The following table shows deferred tax expense recorded in the profit or loss due to changes in the deferred tax assets and liabilities.

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Deferred Tax Liabilities				
Defined benefit obligation- Profit or Loss	2,390,215	3,581,334	2,194,756	3,581,334
Other temporary differences	-	53,913,123	-	53,913,123
Accelerated depreciation - Leased assets	3,157,106	46,645,373	3,157,106	46,645,373
Accelerated depreciation - Own assets	-	-	(21,461)	116,043
Lease rentals	90,877,487	3,528,952	90,877,487	3,528,952
	<u>96,424,808</u>	<u>107,668,783</u>	<u>96,207,888</u>	<u>107,784,826</u>
Deferred Tax Assets				
Accelerated depreciation - own assets	95,552,019	12,931,290	95,552,019	13,163,378
Defined benefit obligation - profit /loss	-	13,797,230	-	13,868,194
Other temporary differences	14,346,470	-	14,346,470	-
	<u>109,898,489</u>	<u>26,728,520</u>	<u>109,898,489</u>	<u>27,031,572</u>
Total Deferred tax expense / Reversal	<u>(13,473,681)</u>	<u>80,940,263</u>	<u>(13,690,601)</u>	<u>80,753,256</u>
Defined benefit obligation - Other Comprehensive Income	(4,530,789)	13,797,230	(4,530,789)	13,868,194
Deferred tax expense adjusted through profit or loss	<u>(18,004,470)</u>	<u>94,737,494</u>	<u>(18,221,390)</u>	<u>94,621,451</u>

13 EARNINGS PER ORDINARY SHARE

Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year, as per LKAS 33- Earnings Per Share.

	Company		Group	
For the year ended 31 st March	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Amounts Used as the Numerators:				
Net profit/ (loss) attributable to ordinary shareholders for basic	415,317,006	202,903,073	426,191,375	364,061,201
Number of Ordinary Shares Used as Denominators for Basic Earnings per share				
Weighted average number of ordinary shares in issue (Note No. 38)	2,430,000	2,430,000	2,430,000	2,430,000
Basic earnings per ordinary share (Rs.)	171	83	175	150

The company dialuted EPS is equal to the Basic Earning per Ordinary Share since the Company does not have any convertible securities as at the reporting date.

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	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
14 DIVIDENDS				
14.1 Declared and Paid During the Year				
Dividends on Ordinary Shares:				
Interim Dividends Rs. 29/- per share	70,470,000	-	70,470,000	-
Final dividend proposed for 2016 - Rs. xx /- per share (2015 - Rs.23/- per share)	-	55,890,000	-	55,890,000
	<u>70,470,000</u>	<u>55,890,000</u>	<u>70,470,000</u>	<u>55,890,000</u>
Dividend Per Share (Rs.)	29	23	29	23

In accordance with LKAS 10 on 'Events After the Reporting Period', above proposed final dividend have not been recognised as a liability as at the year end.

15 NET ASSETS VALUE PER ORDINARY SHARE

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
As at 31st March				
Amount used as the numerator				
Total equity attributable to equity holders of the Company	2,734,334,636	2,449,343,391	2,776,047,475	2,480,125,202
Number of ordinary shares used as the denominator				
Total number of ordinary shares	2,430,000	2,430,000	2,430,000	2,430,000
Net assets value per ordinary share	1,125	1,008	1,142	1,021

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16 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of Significant Accounting Policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognized. The following table analyses the carrying amounts of the financial instruments by category as defined in LKAS 39 on 'Financial Instrument Recognition & Measurement' under the headings of the Statement of Financial Position.

16.1 Company

As at 31st March 2016	Fair Value Through Profit or Loss	L&R at Amortised Cost	AFS at Fair Value	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	-	143,982,481	-	143,982,481
Repurchase agreements	-	735,591,742	-	735,591,742
Placements with banks & financial institutions	-	1,834,356,115	-	1,834,356,115
Financial investments - Held for trading	1,081,001,402	-	-	1,081,001,402
Loans and advances	-	5,603,981,321	-	5,603,981,321
Lease rentals receivable & stock out on hire	-	13,283,110,374	-	13,283,110,374
Hirepurchase rentals receivable & stock out on hire	-	462,569,201	-	462,569,201
Financial investments - Available for sale	-	-	450,254,097	450,254,097
Other financial assets	-	181,511,534	-	181,511,534
Total Financial Assets	1,081,001,402	22,245,102,768	450,254,097	23,776,358,267
			Other Financial Liabilities at amortised cost	Total
Financial Liabilities			Rs.	Rs.
Due to banks			8,328,978,742	8,328,978,742
Due to customers			10,464,149,566	10,464,149,566
Debt Instruments issued and other borrowed funds			3,062,414,964	3,062,414,964
Other financial liabilities			884,210,568	884,210,568
Total Financial Liabilities			22,739,753,840	22,739,753,840

16.2 Company

As at 31st March 2015	Fair Value Through Profit or Loss	L&R at Amortised Cost	AFS at Fair Value	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	-	118,573,049	-	118,573,049
Repurchase agreements	-	602,960,253	-	602,960,253
Placements with banks & financial institutions	-	390,218,289	-	390,218,289
Financial investments - Held for trading	1,360,730,696	-	-	1,360,730,696
Loans and advances	-	3,729,449,078	-	3,729,449,078
Lease rentals receivable & stock out on hire	-	10,069,293,475	-	10,069,293,475
Hirepurchase rentals receivable & stock out on hire	-	1,124,197,171	-	1,124,197,171
Financial investments - Available for sale	-	-	539,714,872	539,714,872
Other financial assets	-	134,825,966	-	134,825,966
Total Financial Assets	1,360,730,696	16,169,517,281	539,714,872	18,069,962,849
			Other Financial Liabilities at amortised cost	Total
Financial Liabilities			Rs.	Rs.
Due to banks			2,929,071,347	2,929,071,347
Due to customers			10,344,065,933	10,344,065,933
Debt Instruments issued and other borrowed funds			3,203,466,448	3,203,466,448
Other financial liabilities			700,836,812	700,836,812
Total Financial Liabilities			17,177,440,540	17,177,440,540

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16.3 Group

As at 31st March 2016	Fair Value Through Profit or Loss Rs.	L&R at Amortised Cost Rs.	AFS at Fair Value Rs.	Total Rs.
Financial Assets				
Cash and cash equivalents	-	177,180,931	-	177,180,931
Repurchase agreements	-	735,591,742	-	735,591,742
Placements with banks & financial institutions	-	1,834,356,115	-	1,834,356,115
Financial investments - Held for trading	1,159,449,583	-	-	1,159,449,583
Loans and advances	-	5,604,087,836	-	5,604,087,836
Lease rentals receivable & stock out on hire	-	13,283,110,374	-	13,283,110,374
Hirepurchase rentals receivable & stock out on hire	-	462,569,201	-	462,569,201
Financial investments - Available for sale	-	-	463,754,097	463,754,097
Other financial assets	-	178,653,619	-	178,653,619
Total Financial Assets	1,159,449,583	22,275,549,818	463,754,097	23,898,753,498
			Other Financial Liabilities at amortised cost Rs.	Total Rs.
Financial Liabilities				
Due to banks			8,353,691,241	8,353,691,241
Due to customers			10,464,149,566	10,464,149,566
Debt Instruments issued and other borrowed funds			3,062,414,964	3,062,414,964
Other financial liabilities			890,116,107	890,116,107
Total Financial Liabilities			22,770,371,878	22,770,371,878

16.3 Group

As at 31st March 2015	Fair Value Through Profit or Loss Rs.	L&R at Amortised Cost Rs.	AFS at Fair Value Rs.	Total Rs.
Financial Assets				
Cash and cash equivalents	-	168,247,616	-	168,247,616
Repurchase agreements	-	602,960,253	-	602,960,253
Placements with banks & financial institutions	-	390,218,289	-	390,218,289
Financial investments - Held for trading	1,433,160,528	-	-	1,433,160,528
Loans and advances	-	3,729,589,128	-	3,729,589,128
Lease rentals receivable & stock out on hire	-	10,069,293,475	-	10,069,293,475
Hirepurchase rentals receivable & stock out on hire	-	1,124,197,171	-	1,124,197,171
Financial investments - Available for sale	-	-	539,714,872	539,714,872
Other financial assets	-	121,319,177	-	121,319,177
Total Financial Assets	1,433,160,528	16,205,825,109	539,714,872	18,178,700,509
			Other Financial Liabilities at amortised cost Rs.	Total Rs.
Financial Liabilities				
Due to banks			2,952,033,605	2,952,033,605
Due to customers			10,344,065,933	10,344,065,933
Debt Instruments issued and other borrowed funds			3,203,466,448	3,203,466,448
Other financial liabilities			711,730,812	711,730,812
Total Financial Liabilities			17,211,296,798	17,211,296,798

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17 CASH AND CASH EQUIVALENTS	Company		Group	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Cash in hand	39,907,651	48,121,547	39,909,609	48,127,547
Balances with banks	104,074,830	70,451,502	137,271,322	120,120,069
	<u>143,982,481</u>	<u>118,573,049</u>	<u>177,180,931</u>	<u>168,247,616</u>
18 FINANCIAL INVESTMENTS - HELD FOR TRADING				
Government of Sri Lanka treasury bills	583,697,462	503,673,554	583,697,462	503,673,554
Quoted equity securities (Note 18.1)	198,773,769	217,682,266	198,773,769	217,682,266
Investments in unit trusts (Note 18.2)	298,530,171	639,374,876	376,978,352	711,804,708
	<u>1,081,001,402</u>	<u>1,360,730,696</u>	<u>1,159,449,583</u>	<u>1,433,160,528</u>

18.1 Quoted Equities

	2016 Company & Group			2015 Company & Group		
	No of Shares	Cost of Investment Rs.	Fair Value Rs.	No of Shares	Cost of Investment Rs.	Fair Value Rs.
<u>Banks, Finance & Insurance</u>						
Seylan Bank PLC	136,525	15,020,785	11,741,150	126,525	13,636,915	12,652,500
Seylan Bank PLC non voting	49,000	3,468,416	3,087,000	58,000	3,720,205	3,677,200
People's Leasing Company PLC	529,800	12,043,920	8,476,800	554,800	12,650,640	12,261,080
Ceylinco Insurance PLC - non voting	1,500	602,749	1,173,000	1,500	602,749	937,500
Sinhaputhra Finance PLC -preference	50,000	125,000	450,000	5,000	125,000	225,500
Commercial Bank - non voting	77	8,954	8,701	77	8,954	10,102
DFCC Bank PLC	-	-	-	43,500	10,067,507	8,821,800
Central Finance Co PLC	15,000	4,084,490	3,150,000	15,000	4,084,490	3,751,500
Hatton National Bank PLC	30,071	6,904,933	5,993,150	15,000	3,503,808	3,330,000
Nations Trust Bank PLC	-	-	-	44,955	4,909,518	4,499,996
Union Bank PLC	91,764	2,366,190	1,523,282	-	-	-
Merchant Bank of Sri Lanka PLC	385	718,750	3,927	-	-	-
Sanasa Development Bank	35,500	5,522,999	4,852,850	-	-	-
		<u>50,867,186</u>	<u>40,459,860</u>		<u>53,309,786</u>	<u>50,167,178</u>
<u>Land & Property</u>						
Overseas Realty (Ceylon) PLC	-	-	-	237,716	4,405,141	5,586,326
East West Properties PLC	1,867,153	28,371,773	25,206,566	96,136	1,359,219	1,153,632
Housing Development	-	-	-	101,200	7,449,197	6,072,000
		<u>28,371,773</u>	<u>25,206,566</u>		<u>13,213,557</u>	<u>12,811,958</u>
<u>Hotels & Travels</u>						
Sigiriya Village Hotels PLC	64,902	6,779,287	3,822,728	64,902	6,779,287	3,829,218
Ceylon Hotels Corporation PLC	50,900	2,139,964	1,221,600	50,900	2,139,964	1,510,488
Mahaweli Reach Hotels PLC	71,928	2,970,734	1,625,573	71,928	2,970,734	1,201,240
Taj Lanka Hotels PLC	17,800	997,893	416,520	17,800	997,893	466,360
Serendib Hotels PLC -non voting	14,510	334,376	253,925	14,510	334,376	311,965
Nuwara Eliya Hotels Company PLC	300	455,040	412,470	300	455,040	435,720
Browns Beach Hotels PLC	100,000	2,231,637	3,260,000	159,462	3,558,612	3,986,550
Staffered Hotels PLC	129,038	7,012,700	5,419,596	129,038	7,012,700	7,342,262
Tangerine Beach Hotels PLC	7,516	630,813	501,317	7,516	630,813	593,764
Crescat- Asian Hotels PLC	30,000	2,120,486	1,590,000	30,000	2,120,486	1,890,000
MTD Walkers PLC	45,000	2,803,621	1,498,500	-	-	-
Hotel Sigiyiya PLC	35,000	3,539,200	3,360,000	-	-	-
		<u>32,015,751</u>	<u>23,382,229</u>		<u>26,999,905</u>	<u>21,567,567</u>
<u>Manufacturing</u>						
Central Industries PLC	100,000	11,764,452	8,580,000	900	95,561	76,410
Tokyo Cement PLC - non voting	22,000	498,319	710,600	97,000	3,903,535	3,627,800
Tokyo Cement PLC	-	-	-	85,000	5,660,192	4,666,500
Textured Jersey PLC	-	-	-	474,118	11,149,027	11,426,244
Kelani Tyres PLC	-	-	-	108,291	7,499,742	8,446,698
Singer Sri Lanka PLC	30,405	3,675,127	3,578,669	32,200	3,892,093	3,670,800
Regnis Lanka PLC	100,000	12,317,694	14,620,000	-	-	-
Lanka Aluminium Industries PLC	10,000	1,152,728	700,000	-	-	-
Alumex PLC	250,000	4,550,400	3,850,000	-	-	-
ACL Plastic PLC	2,120	372,999	328,600	-	-	-
		<u>34,331,719</u>	<u>32,367,869</u>		<u>32,200,150</u>	<u>31,914,452</u>

Alliance Finance Company PLC
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18.1 Quoted equities (continued)

	2016 Company & Group			2015 Company & Group		
	No of Shares	Cost of Investment Rs.	Fair Value Rs.	No of Shares	Cost of Investment Rs.	Fair Value Rs.
<u>Investment Trusts</u>						
Renuka Holdings PLC	674,529	23,042,074	14,232,562	169,529	6,363,482	4,746,812
Lee Hedges PLC	54,540	16,714,244	20,485,224	54,540	16,714,244	21,543,300
Renuka Holdings PLC	-	-	-	505,000	16,678,591	14,140,000
		<u>39,756,318</u>	<u>34,717,786</u>		<u>39,756,317</u>	<u>40,430,112</u>
<u>Diversified Holdings</u>						
John Keells Holdings PLC	92	19,025	13,616	10,081	2,165,803	2,010,151
Aitken Spence PLC	254,551	30,161,167	18,709,499	254,551	30,161,167	25,327,823
Hayleys PLC	35,000	12,386,795	8,599,500	10,000	3,433,024	3,000,000
Distilleries Lanka PLC	-	-	-	21,871	5,196,740	5,259,976
		<u>42,566,987</u>	<u>27,322,615</u>		<u>40,956,734</u>	<u>35,597,950</u>
<u>Plantations</u>						
Kegalle Plantations PLC	37,100	8,266,496	2,251,970	37,100	8,266,496	3,183,180
Horana Plantations PLC	25,000	1,873,625	422,500	25,000	1,873,625	562,500
		<u>10,140,121</u>	<u>2,674,470</u>		<u>10,140,121</u>	<u>3,745,680</u>
<u>Construction & Engineering</u>						
Access Engineering PLC	21,500	500,038	447,200	51,600	1,460,393	990,720
Colombo Dockyard PLC	6,580	1,232,107	711,298	6,213	1,169,204	1,028,252
		<u>1,732,145</u>	<u>1,158,498</u>		<u>2,629,597</u>	<u>2,018,972</u>
<u>Power & Energy</u>						
Mackwoods Energy PLC	100,000	1,399,997	280,000	100,000	1,399,997	600,000
Pan Asian Power PLC	-	-	-	1,500,000	5,106,560	5,100,000
Lanka IOC Co. PLC	25,000	1,302,426	812,500	60,000	3,424,530	2,418,000
		<u>2,702,423</u>	<u>1,092,500</u>		<u>9,931,087</u>	<u>8,118,000</u>
<u>Motors</u>						
Diesel & Motor Engineering PLC	17,500	19,143,781	9,619,750	17,500	19,143,781	11,025,000
Colonial Motors PLC	2,285	800,794	205,650	2,285	800,794	285,397
United Motors PLC	6,819	668,851	565,977	-	-	-
		<u>20,613,426</u>	<u>10,391,377</u>		<u>19,944,575</u>	<u>11,310,397</u>
Total Investment		<u>263,097,848</u>	<u>198,773,769</u>		<u>249,081,829</u>	<u>217,682,266</u>

18.2 Investments in Unit Trusts

Company Arranger	No of Units	2016		No of Units	2015	
		Cost (Initial Investment) Rs.	Fair Value Rs.		Cost (Initial Investment) Rs.	Fair Value Rs.
Capital Alliance Pvt. Ltd - Corporate treasury fund	19,554,720	292,537,167	298,530,171	8,734,915	100,000,000	104,016,239
Capital Alliance Pvt. Ltd - High yield fund	-	-	-	36,188,244	500,000,000	510,080,538
Asset Trust Mangement (Pvt) Ltd	-	-	-	25,466	274,273	278,099
First Capital Asset Management (Pvt) Ltd	-	-	-	24,140	25,000,000	25,000,000
		<u>292,537,167</u>	<u>298,530,171</u>		<u>625,274,273</u>	<u>639,374,876</u>
Subsidiary						
Arranger	No of Units	Cost (Initial Investment) Rs.	Fair Value Rs.	No of Units	Cost (Initial Investment) Rs.	Fair Value Rs.
Capital Alliance Pvt. Ltd - Corporate treasury fund	5,138,617	70,649,816	78,448,181	5,138,617	70,649,816	72,429,832
		<u>70,649,816</u>	<u>78,448,181</u>		<u>70,649,816</u>	<u>72,429,832</u>
		<u>363,186,983</u>	<u>376,978,352</u>		<u>695,924,089</u>	<u>711,804,708</u>

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19 LOANS AND ADVANCES

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Term loan receivable	2,597,028,565	1,283,975,970	2,597,028,565	1,283,975,970
Gold loans	367,909,866	812,153,166	367,909,866	812,153,166
Pledge loans	668,563,924	96,314,760	668,563,924	96,314,760
Micro finance loans	2,011,667,242	1,575,997,029	2,011,667,242	1,575,997,029
Loans against fixed deposits	80,958,989	79,498,872	80,958,989	79,498,872
Staff loans (Note 19.3)	12,087,643	14,317,135	12,194,158	14,457,185
Operating lease debtors	1,174,740	667,701	1,174,740	667,701
	<u>5,739,390,969</u>	<u>3,862,924,633</u>	<u>5,739,497,484</u>	<u>3,863,064,683</u>
Less : Allowance for impairment losses (Note 19.1 & 19.2)	<u>(135,409,648)</u>	<u>(133,475,555)</u>	<u>(135,409,648)</u>	<u>(133,475,555)</u>
Net loans and advances	<u>5,603,981,321</u>	<u>3,729,449,078</u>	<u>5,604,087,836</u>	<u>3,729,589,128</u>

19.1 Allowances for impairment losses

As at 01 April	133,475,555	74,239,105	133,475,555	74,239,105
Charge / (Reversal) for the year	<u>1,934,093</u>	<u>59,236,450</u>	<u>1,934,093</u>	<u>59,236,450</u>
As at 31 March	<u><u>135,409,648</u></u>	<u><u>133,475,555</u></u>	<u><u>135,409,648</u></u>	<u><u>133,475,555</u></u>

19.2 Loan category wise allowances for impairment losses

Term loan receivable	14,077,610	7,109,672	14,077,610	7,109,672
Gold loans	15,074,937	112,661,776	15,074,937	112,661,776
Pledge loans	1,928,031	1,152,890	1,928,031	1,152,890
Micro finance loans	<u>104,329,070</u>	<u>12,551,217</u>	<u>104,329,070</u>	<u>12,551,217</u>
	<u><u>135,409,648</u></u>	<u><u>133,475,555</u></u>	<u><u>135,409,648</u></u>	<u><u>133,475,555</u></u>

19.3 Staff Loans include loans granted to Company officers, the movement of which is as follows :

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
As at the beginning of the year	14,317,135	15,529,051	14,317,135	15,529,051
Loans granted during the year	16,604,524	5,832,107	16,604,524	5,972,157
Repayments during the year	<u>(18,834,016)</u>	<u>(7,044,023)</u>	<u>(18,727,501)</u>	<u>(7,044,023)</u>
As at the end of the year	<u><u>12,087,643</u></u>	<u><u>14,317,135</u></u>	<u><u>12,194,158</u></u>	<u><u>14,457,185</u></u>

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20 LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	Company 2016 Rs.	2015 Rs.	Group 2016 Rs.	2015 Rs.
Gross rentals receivables				
- Lease rentals	17,227,500,643	12,532,159,652	17,227,500,643	12,532,159,652
- Amounts receivable from hirers	417,995,854	954,200,565	417,995,854	954,200,565
	17,645,496,497	13,486,360,217	17,645,496,497	13,486,360,217
Less: Unearned income	(4,162,514,201)	(3,104,176,926)	(4,162,514,201)	(3,104,176,926)
Net rentals receivables	13,482,982,296	10,382,183,291	13,482,982,296	10,382,183,291
Less : Allowance for impairment losses (Note 20.1)	(199,871,922)	(312,889,816)	(199,871,922)	(312,889,816)
Total net rentals receivable (Note 20.2 & 20.3)	13,283,110,374	10,069,293,475	13,283,110,374	10,069,293,475

20.1 Allowances for impairment losses

As at 01 April	312,889,816	323,271,010	312,889,816	323,271,010
Charge / (Reversal) for the year	(113,017,894)	(10,381,194)	(113,017,894)	(10,381,194)
As at 31 March	199,871,922	312,889,816	199,871,922	312,889,816

20.2 Company & Group

	Within one year Rs.	1 - 5 years Rs.	Over 5 years Rs.	Total Rs.
As at 31st March 2016				
Gross rentals receivables				
- Lease rentals	6,746,859,752	10,456,294,259	24,346,632	17,227,500,643
- Amounts receivable from hirers	400,275,796	17,714,387	5,671	417,995,854
	7,147,135,548	10,474,008,646	24,352,303	17,645,496,497
Less: Unearned income	(2,173,449,885)	(1,988,212,266)	(852,050)	(4,162,514,201)
Net rentals receivables	4,973,685,663	8,485,796,380	23,500,253	13,482,982,296
Less : Allowance for impairment losses				(199,871,922)
Total net rentals receivable				13,283,110,374

20.3 Company & Group

	Within one year Rs.	1 - 5 years Rs.	Over 5 years Rs.	Total Rs.
As at 31st March 2015				
Gross rentals receivables				
- Lease rentals	5,632,649,654	6,868,653,043	30,856,955	12,532,159,652
- Amounts receivable from hirers	886,277,550	67,923,015	-	954,200,565
	6,518,927,204	6,936,576,058	30,856,955	13,486,360,217
Less: Unearned income	(1,767,407,463)	(1,334,407,054)	(2,362,409)	(3,104,176,925)
Net rentals receivables	4,751,519,741	5,602,169,004	28,494,546	10,382,183,291
Less : Allowance for impairment losses				(312,889,816)
Total net rentals receivable				10,069,293,475

Lease rentals receivables include receivables amounting to Rs. 6,394,850,888 that have been assigned under a securitisation funding arrangement.

Alliance Finance Company PLC
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21 HIREPURCHASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Gross rentals receivables				
- Hire purchase rentals	532,742,659	1,326,487,925	532,742,659	1,326,487,925
- Amounts receivable from hirers	35,935,139	153,957,911	35,935,139	153,957,911
	568,677,798	1,480,445,836	568,677,798	1,480,445,836
Less: Unearned income	(93,938,160)	(301,790,894)	(93,938,160)	(301,790,894)
Net rentals receivables	474,739,638	1,178,654,942	474,739,638	1,178,654,942
Less : Allowance for impairment losses (Note 21.1)	(12,170,437)	(54,457,771)	(12,170,437)	(54,457,771)
Total net rentals receivable (Note 21.2 & 21.3)	462,569,201	1,124,197,171	462,569,201	1,124,197,171

21.1 Allowance for impairment losses

As at 01 April	54,457,771	77,838,700	54,457,771	77,838,700
Charge / (Reversal) for the year	(42,287,334)	(23,380,929)	(42,287,334)	(23,380,929)
As at 31 March	12,170,437	54,457,771	12,170,437	54,457,771

21.2 Company & Group

	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
As at 31st March 2016				
Gross rentals receivables				
- Hire purchase rentals	307,628,625	225,114,034	-	532,742,659
- Amounts receivable from hirers	33,189,849	2,745,290	-	35,935,139
	340,818,474	227,859,324	-	568,677,798
Less: Unearned income	(64,207,595)	(29,730,565)	-	(93,938,160)
Net rentals receivables	276,610,879	198,128,759	-	474,739,638
Less : Allowance for impairment losses				(12,170,437)
Total net rentals receivable				462,569,201

21.3 Company & Group

	Within one	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
As at 31st March 2015				
Gross rentals receivables				
- Hire purchase rentals	650,715,250	675,772,675	-	1,326,487,925
- Amounts receivable from hirers	146,054,588	7,903,323	-	153,957,911
	796,769,838	683,675,998	-	1,480,445,836
Less: Unearned income	(180,986,084)	(120,804,810)	-	(301,790,895)
Net rentals receivables	615,783,754	562,871,188	-	1,178,654,942
Less : Allowance for impairment losses				(54,457,771)
Total net rentals receivable				1,124,197,171

Hire purchase receivables include receivables amounting to Rs. 254,473,530 that have been assigned under a securitization funding arrangement.

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22 FINANCIAL INVESTMENTS - AVAILABLE FOR SALE

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Government of Sri Lanka treasury bonds	438,251,912	495,274,211	438,251,912	495,274,211
Unquoted equities (Note 22.1)	12,002,185	44,440,661	25,502,185	44,440,661
	450,254,097	539,714,872	463,754,097	539,714,872

22.1 Unquoted equities

	2016		2015	
Company & Group	Cost of Investment	Fair Value	Cost of Investment	Fair Value
	Rs.	Rs.	Rs.	Rs.
Comptrust Equity Fund	200,500	200,500	200,500	200,500
MBSL Savings Bank Ltd	-	-	625,000	625,000
Commercial Fund Management	1,500	1,500	1,500	1,500
MBSL Savings Bank Ltd - Non voting	-	-	93,750	93,750
DFCC Vardhena Bank	-	-	16,179,701	30,549,631
Shaw Wallace Distributors Ltd	11,544	11,544	11,544	11,544
Alliance Agencies Ltd	75,300	75,300	75,300	75,300
Ceylon Japan Industries Ltd	1	1	1	1
Orient Food Processing (Lanka) Ltd	1	1	1	1
Trigem Knitwear Ltd	1	1	1	1
Credit Information Bureau of Sri Lanka	25,400	25,400	25,400	25,400
Finance House Consortium (Pvt) Ltd	200,000	200,000	200,000	200,000
Alliance Tech Trading (Pvt) Ltd	200,000	200,000	200,000	200,000
Orient Hotels Ltd	1	1	1	1
Ranwelli Holiday Resorts Ltd	65,001	65,001	65,001	65,001
Jetwing Symphony Ltd	8,250,000	10,061,884	8,250,000	10,058,246
Nation Lanka Equities (Pvt) Ltd	8,785,740	1,161,052	8,785,760	2,334,785
Total	17,814,989	12,002,185	34,713,460	44,440,661
Unquoted equities of associates				
Macbertain (Pvt) Ltd	13,500,000	13,500,000	-	-
Total	31,314,989	25,502,185	34,713,460	44,440,661

23 OTHER TRADING STOCKS

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Other trading stocks	207,857,305	290,921,018	207,857,305	290,921,018
	207,857,305	290,921,018	207,857,305	290,921,018

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24 OTHER FINANCIAL ASSETS

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Collaboration debtors	1,793,477	9,129,100	1,793,477	9,129,100
Other receivables	179,718,057	125,696,866	176,860,142	112,190,077
	<u>181,511,534</u>	<u>134,825,966</u>	<u>178,653,619</u>	<u>121,319,177</u>

25 OTHER NON FINANCIAL ASSETS

Pre-paid expenses	104,987,803	115,605,921	104,987,803	115,605,921
Stationery stock account	5,087,147	3,047,745	5,087,147	3,047,745
VAT payables/recoverable	3,370,492	8,557,302	8,071,404	9,712,327
	<u>113,445,442</u>	<u>127,210,968</u>	<u>118,146,354</u>	<u>128,365,993</u>

26 INCOME TAX REFUND DUE

Receivable from Inland Revenue Department	-	50,348,792	-	50,348,792
	<u>-</u>	<u>50,348,792</u>	<u>-</u>	<u>50,348,792</u>

27. INVESTMENT IN ASSOCIATES

Company and Group

Equity Method	% Holding	Carrying Value 01.04.2015 Rs.	Profit Share Rs.	Dividend Received Rs.	Changes of interest Rs.	Adjustment on Liquidation Rs.	Carrying Value 31.03.2016 Rs.
Macbertan (Pvt) Ltd Note - a (i)	24.70%	63,271,188	10,080,460	(2,039,040)	(3,153,928)	-	68,158,680
Xesol (Pvt) Ltd	39.62%	6,604,176	-	-	-	(6,604,176)	-
		<u>69,875,364</u>	<u>10,080,460</u>	<u>(2,039,040)</u>	<u>(3,153,928)</u>	<u>(6,604,176)</u>	<u>68,158,680</u>

Note - a (i)

Alliance Finance Company PLC shareholding of Macbertan (Pvt) Ltd has changed from 30% to 24.71% during the year due to issue of new shares to other investors. Accordingly loss of Rs.3,153,928/- has been charged to the Profit & Loss.

	% Holding	Carrying Value 01.04.2014 Rs.	Profit Share Rs.	Dividend Received Rs.	Derecognition of AFS Rs.	Transfer to Subsidiary Rs.	Carrying Value 31.03.2015 Rs.
Alfinco Insurance Brokers (Pvt) Ltd Note - a (ii)	39.00%	58,203,474	1,946,725	(1,218,750)	(42,007,411)	(16,924,038)	-
Macbertan (Pvt) Ltd	30.00%	58,634,829	9,108,359	(4,472,000)	-	-	63,271,188
Xesol (Pvt) Ltd	39.62%	6,604,176	-	-	-	-	6,604,176
		<u>123,442,479</u>	<u>11,055,084</u>	<u>(5,690,750)</u>	<u>(42,007,411)</u>	<u>(16,924,038)</u>	<u>69,875,364</u>

Note - a (ii)

Alliance Finance Company PLC holding of Alfinco Insurance Brokers (Pvt) Ltd increased up to 64% in 30th September 2014, and it became a subsidiary and carrying value has been recognised as the cost of the subsidiary.

		2016 Rs.	2015 Rs.
b) Cost Method	No. of Ordinary Shares	Cost of Investment Rs.	Cost of Investment Rs.
Xesol (Pvt) Ltd	513,055	-	5,130,550
Macbertan (Pvt) Ltd	1,720,000	17,200,000	17,200,000
		<u>17,200,000</u>	<u>22,330,550</u>

c) Summary Financial information of the Investment in Associates

	2016 Rs.	2015 Rs.
Total assets	638,494,788	564,006,734
Total liabilities	362,689,899	353,172,109
Net assets	275,804,899	210,834,624
Revenue	974,735,405	908,872,722
Profits	36,266,083	30,361,195

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28 INVESTMENT IN SUBSIDIARIES

	Principal Activity	% Holding	Cost of Investment Rs.
Alfinco Insurance Brokers (Pvt) Ltd	Insurance Brokering	63.94%	16,924,038

Alfinco Insurance Brokers (Pvt) Ltd not quoted in Colombo Stock Exchange.

Alliance Finance Company PLC holding of Alfinco Insurance Brokers (Pvt) Ltd increased up to 64% in 30th September 2014, as a result carrying value of associate company trasfered as a cost to the subsidiary.

28.1 Summaried Financial Information of Subsidiary

As at 31st March	2016 Rs.	2015 Rs.
Alfinco Insurance Brokers (Pvt) Ltd		
Net Operating income	40,645,551	442,638,352
Less: Operating expenses	(17,337,388)	(34,606,098)
Profit before taxes	23,308,163	408,032,254
Less: Taxes	(6,301,020)	(6,418,179)
Profit after tax	17,007,143	401,614,075
Assets	168,556,666	147,596,565
Liabilities	76,844,071	72,979,720
Equity	91,712,595	74,616,845

Alliance Finance Company PLC

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29 PROPERTY, PLANT AND EQUIPMENT

29.1 Company

Gross Carrying Amounts	Balance As at 01.04.2015 Rs.	Additions Rs.	Disposals Rs.	Adjustments / Transfers Rs.	Balance As at 31.03.2016 Rs.
Cost / Valuation					
Freehold Assets					
Land	565,088,034	219,757,593	-	-	784,845,627
Buildings	55,111,229	82,369,547	-	-	137,480,776
Furniture & fittings	81,206,266	13,621,625	-	(357,632)	94,470,259
Equipment	232,289,839	38,245,038	(2,280,130)	(588,000)	267,666,747
Motor vehicles & accessories	318,440,408	8,686,000	(76,492,288)	24,278,116	274,912,236
Computers	178,669,307	61,740,906	-	588,000	240,998,213
Antiques	25,580	-	-	-	25,580
Cutlery & crockery	133,419	-	(133,419)	-	-
	<u>1,430,964,082</u>	<u>424,420,709</u>	<u>(78,905,837)</u>	<u>23,920,484</u>	<u>1,800,399,438</u>
Assets on Finance Lease					
Motor vehicles	76,866,071	-	-	-	76,866,071
Computers	-	26,251,500	-	-	26,251,500
	<u>76,866,071</u>	<u>26,251,500</u>	<u>-</u>	<u>-</u>	<u>103,117,571</u>
	<u>1,507,830,153</u>	<u>450,672,209</u>	<u>(78,905,837)</u>	<u>23,920,484</u>	<u>1,903,517,009</u>
Depreciation					
Freehold Assets					
Land	-	-	-	-	-
Buildings	5,260,938	2,515,395	-	167	7,776,500
Furniture & fittings	24,282,223	6,266,145	-	(13,203)	30,535,166
Equipments	93,866,122	23,332,396	(1,212,405)	1,010,981	116,997,094
Motor vehicles & accessories	115,467,824	23,661,178	(29,997,473)	(1,213,031)	107,918,498
Computers	122,745,099	38,215,163	-	219,406	161,179,668
Antiques	-	-	-	-	-
Cutlery & crockery	72,815	7,635	(76,129)	(4,321)	-
	<u>361,695,021</u>	<u>93,997,912</u>	<u>(31,286,007)</u>	<u>-</u>	<u>424,406,926</u>
Assets on Finance Lease					
Motor vehicles	12,807,924	3,748,661	-	-	16,556,585
Computers	-	2,187,625	-	-	2,187,625
	<u>12,807,924</u>	<u>5,936,286</u>	<u>-</u>	<u>-</u>	<u>18,744,210</u>
	<u>374,502,945</u>	<u>99,934,198</u>	<u>(31,286,007)</u>	<u>-</u>	<u>443,151,136</u>
Net book value					
Land	565,088,034				784,845,627
Buildings	49,850,291				129,704,276
Furniture & fittings	56,924,043				63,935,093
Equipments	138,423,717				150,669,653
Motor vehicles & accessories	202,972,584				166,993,738
Computers	55,924,208				79,818,545
Antiques	25,580				25,580
Cutlery & crockery	60,604				-
	<u>1,069,269,061</u>				<u>1,375,992,512</u>
Assets on Finance Lease					
Motor vehicles	64,058,147				60,309,486
Computers	-				24,063,875
	<u>64,058,147</u>				<u>84,373,361</u>
Total Value of Depreciable Assets	<u>1,133,327,208</u>				<u>1,460,365,873</u>

Alliance Finance Company PLC
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29.2 Group

Gross Carrying Amounts	Balance As at 01.04.2015 Rs.	Additions Rs.	Disposals Rs.	Adjustments / Transfers Rs.	Balance As at 31.03.2016 Rs.
Cost / Valuation					
Freehold Assets					
Land	565,088,034	219,757,593	-	-	784,845,627
Buildings	55,111,229	82,369,547	-	-	137,480,776
Furniture & fittings	81,485,624	13,621,625	-	(357,632)	94,749,617
Equipment	232,873,648	38,245,038	(2,280,130)	(588,000)	268,250,556
Motor vehicles & accessories	318,440,408	8,686,000	(76,492,288)	24,278,116	274,912,236
Computers	180,074,471	61,740,906	-	588,000	242,403,377
Antiques	25,580	-	-	-	25,580
Cutlery & crockery	133,419	-	(133,419)	-	-
	<u>1,433,232,413</u>	<u>424,420,709</u>	<u>(78,905,837)</u>	<u>23,920,484</u>	<u>1,802,667,769</u>
Assets on Finance Lease					
Motor vehicles	76,866,071	-	-	-	76,866,071
Computers	-	26,251,500	-	-	26,251,500
	<u>76,866,071</u>	<u>26,251,500</u>	<u>-</u>	<u>-</u>	<u>103,117,571</u>
	<u>1,510,098,484</u>	<u>450,672,209</u>	<u>(78,905,837)</u>	<u>23,920,484</u>	<u>1,905,785,340</u>
Depreciation					
Freehold Assets					
Land	-	-	-	-	-
Buildings	5,260,938	2,515,395	-	167	7,776,500
Furniture & fittings	24,343,510	6,335,266	-	(13,203)	30,665,573
Equipments	94,020,579	23,532,911	(1,212,405)	1,010,981	117,352,066
Motor Vehicles & accessories	115,467,824	23,661,178	(29,997,473)	(1,213,030)	107,918,499
Computers	122,962,431	39,030,838	-	219,406	162,212,675
Antiques	-	-	-	-	-
Cutlery & crockery	72,815	7,635	(76,129)	(4,321)	-
	<u>362,128,097</u>	<u>95,083,223</u>	<u>(31,286,007)</u>	<u>-</u>	<u>425,925,313</u>
Assets on Finance Lease					
Motor vehicles	12,807,924	3,748,661	-	-	16,556,585
Computers	-	2,187,625	-	-	2,187,625
	<u>12,807,924</u>	<u>5,936,286</u>	<u>-</u>	<u>-</u>	<u>18,744,210</u>
	<u>374,936,021</u>	<u>101,019,509</u>	<u>(31,286,007)</u>	<u>-</u>	<u>444,669,523</u>
Net book value					
Land	565,088,034				784,845,627
Buildings	49,850,291				129,704,275
Furniture & fittings	57,142,114				64,084,044
Equipments	138,853,069				150,898,490
Motor vehicles & accessories	202,972,584				166,993,737
Computers	57,112,040				80,190,702
Antiques	25,580				25,580
Cutlery & crockery	60,604				-
	<u>1,071,104,316</u>				<u>1,376,742,455</u>
Assets on Finance Lease					
Motor vehicles	64,058,147				60,309,486
Computers	-				24,063,875
	<u>64,058,147</u>				<u>84,373,361</u>
Total Value of Depreciable Assets	<u>1,135,162,463</u>				<u>1,461,115,815</u>

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29.3 During the financial year, the Company acquired Property, Plant & Equipment to the aggregate value of Rs. 424,420,709/- (2015 - Rs.106,738,856/-) and payment made by cash.

29.4 There aren't any temporarily idling assets as at 31st March 2016.

29.5 The cost of the fully depreciated property, plant and equipment of the Company which are still in use as at the end of the reporting date is as follows:

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Equipments	16,650	16,650	16,650	16,650
Computers	107,724,768	77,794,899	61,339,511	77,794,899
Motor Vehicles	20,484,501	15,379,952	12,993,017	15,379,952
	<u>128,225,919</u>	<u>93,191,501</u>	<u>74,349,178</u>	<u>93,191,501</u>

29.6 The carrying amount of Company's revalued assets that would have been included in the Financial Statements had the assets been carried at cost less depreciation are as follows;

Carrying value at Cost

	Cost	Accumulated	Net Book
	As At	Depreciations	Value As At
	31.03.2016	As At 31.03.2016	31.03.2016
	Rs.	Rs.	Rs.
Land	90,500,000	-	90,500,000
Building	10,554,683	6,892,056	3,662,627
	<u>101,054,683</u>	<u>6,892,056</u>	<u>94,162,627</u>

Carrying value at Revaluation

	Revalued Amount	Accumulated	Net Book
	As At	Depreciations	Value As At
	31.03.2016	As At 31.03.2016	31.03.2016
	Rs.	Rs.	Rs.
Land	564,980,564	-	564,980,564
Building	53,413,429	5,107,675	48,305,754
	<u>618,393,993</u>	<u>5,107,675</u>	<u>613,286,318</u>

29.7 **Details of Free Hold Land and Buildings as at 31st March 2016**

Location	Extent (Purc)	Cost or Revaluation of Land Rs.	Building (Square Feet)	Cost or Revaluation of Building Rs.	Total Value Rs.
No 84 Ward Place Colombo - 7	37.33 P	275,000,000	6,967	21,877,050	296,877,050
No. 199/11, Obesekara Crescent, Rajagiriya Road, Rajagiriya	165 P	206,250,000	16,508	13,150,000	219,400,000
No.98, Ward Place, Colombo - 7	19.41 P	83,105,564	8,460	18,386,379	101,491,943
No.152, Batapadura Watta Road, Siyambalagoda	28 P	625,000	-	-	625,000
No.720, Kotte Road, Rajagiriya	33.85 P	130,253,800	-	-	130,253,800
No.722, Kotte Road, Rajagiriya	23.26 P	89,503,792	16,660	81,850,207	171,353,999
Freehold Land and Building		<u>784,738,156</u>		<u>135,263,636</u>	<u>920,001,792</u>

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the Financial year ended 31st March 2016

30	DUE TO BANKS	Company		Group				
		2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.			
	Bank overdrafts	234,247,782	434,274,099	258,960,281	457,236,357			
	Securitised borrowings and other bank facilities (Note 30.1 & 30.2)	8,063,318,111	2,467,855,367	8,063,318,111	2,467,855,367			
	Finance lease (30.3, 30.4)	31,412,849	26,941,881	31,412,849	26,941,881			
	Total	8,328,978,742	2,929,071,347	8,353,691,241	2,952,033,605			
30.1	Securitised Borrowings, Syndicated Loans and Other Bank Facilities							
	Company and Group	As at 31.03.2015 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Rs.	As at 31.03.2016 Rs.	Period	Security
	Securitised Borrowings							
	Saylan Bank Trust - 01	94,047,891	-	5,872,462	(99,920,353)	-	36 Months	Lease receivables
	Deutsche Bank Trust - 25	7,232,960	-	58,912	(7,291,872)	-	24 Months	Lease receivables
	Deutsche Bank Trust - 26	101,109,128	-	7,242,801	(96,280,690)	12,071,239	36 Months	Lease receivables
	Deutsche Bank Trust - 27	234,852,731	-	21,264,299	(136,760,609)	119,356,421	36 Months	Lease receivables
	Deutsche Bank Trust - 28	-	1,000,000,000	86,172,996	(150,993,469)	935,179,528	48 Months	Lease/HP receivables
	Deutsche Bank Trust - 29	-	400,000,000	24,331,106	(130,828,783)	293,502,323	36 Months	Lease/HP receivables
	Deutsche Bank Trust - 30	-	600,000,000	7,428,848	-	607,428,848	48 Months	Lease receivables
		437,242,710	2,000,000,000	152,371,424	(622,075,775)	1,967,538,359		
30.2	Direct Bank Borrowings							
	Term Loans							
	BOC Loan	-	1,382,000,000	27,876,726	(12,515,493)	1,397,361,233	12 Months	USD -Fixed deposits
	Cargills Bank	-	100,000,000	2,016,792	(2,016,792)	100,000,000	48 Months	Lease receivables
	Commercial Bank	149,985,007	150,000,000	4,833,696	(161,760,702)	143,058,001	36 Months	Land & building
	DFCC Bank	67,499,991	-	5,599,187	(18,456,330)	54,642,848	96 Months	Land & building
	DFCC Bank - PCI Loan	131,680,221	-	4,406,360	(19,916,269)	116,170,312	180 Months	Nil
	Foreign currency Loan capital - Tridos	-	718,950,000	16,601,441	-	735,551,441	36 Months	MF micro receivable
	Foreign currency Loan capital- Commercial Bank	-	718,950,000	16,839,505	(12,364,505)	723,425,000	12 Months	Nil
	Hatton National Bank	64,500,000	200,000,000	16,334,647	(125,804,647)	155,030,000	48 Months	Lease/HP receivables
	NDB Bank	300,000,000	1,100,000,000	11,069,452	(1,109,066,712)	302,002,740	03 Months	Lease/HP receivables
	Public Bank	22,000,000	100,000,000	8,607,688	(36,019,491)	94,588,197	60 Months	Lease receivables
	Public Bank - vehicle Loan	5,879,726	-	782,057	(6,661,783)	-	60 Months	04 vehicles
	Reverse repo on treasury bills	200,307,055	440,000,000	4,039,533	(458,611,587)	185,735,001	30 Days	Treasury bonds
	Sampath Bank Loan	443,760,658	800,000,000	17,249,076	(676,441,081)	584,568,653	60 Months	Lease/HP receivables
	Seylan Bank	-	500,000,000	15,639,652	(69,739,894)	445,899,758	48 Months	Lease/HP receivables
	Union Bank	345,000,000	1,125,000,002	20,645,240	(1,145,645,249)	344,999,993	03 Months	Lease receivables
	Union Bank	-	765,000,000	19,554,451	(372,054,451)	412,500,000	12 Months	MF receivables
		1,730,612,658	8,099,900,002	192,095,503	4,227,074,986	5,795,533,177		
	Syndication loan	300,000,000	-	32,700,869	32,454,294	300,246,575	48 Months	Lease/HP receivables
		2,467,855,367	10,099,900,002	377,167,797	4,881,605,055	8,063,318,111		

Alliance Finance Company PLC
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30 DUE TO BANKS (Contd.)

30.3 Finance Lease

30.3.1 Company and group

	As at 01.04.2015 Rs.	New facilities Rs.	Repayments Rs.	As at 31.03.2016 Rs.
Finance leases	26,941,881	26,251,500	(21,780,532)	31,412,849
	26,941,881	26,251,500	(21,780,532)	31,412,849

30.4 Finance Lease

	2016 Rs.	2015 Rs.
Gross liability	35,130,889	29,494,869
Less: Finance charges allocated for future periods	(3,718,040)	(2,552,988)
Net liability	31,412,849	26,941,881

Repayable with in one year

Gross liability	15,702,261	19,605,698
Less: Finance charges allocated for future periods	(2,034,873)	(2,219,240)
Net liability	13,667,388	17,386,458

Repayable with in one to five years

Gross liability	19,428,628	9,889,171
Less: Finance charges allocated for future periods	(1,683,167)	(333,748)
Net liability	17,745,461	9,555,423

31 DUE TO CUSTOMERS

	Company 2016 Rs.	2015 Rs.	Group 2016 Rs.	2015 Rs.
Fixed deposits	9,786,480,092	9,950,574,536	9,786,480,092	9,950,574,536
Certificates of deposit	100,000	100,000	100,000	100,000
Savings deposits	677,569,474	393,391,397	677,569,474	393,391,397
	10,464,149,566	10,344,065,933	10,464,149,566	10,344,065,933

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32 DEBT INSTRUMENTS ISSUED AND OTHER BORROWED FUNDS

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Commercial papers	126,630,566	-	126,630,566	-
Secured debentures - Ceylon Assets Management Ltd	-	34,000,000	-	34,000,000
Unsecured debentures (Note No 32.1)	2,935,784,398	3,169,466,448	2,935,784,398	3,169,466,448
	<u>3,062,414,964</u>	<u>3,203,466,448</u>	<u>3,062,414,964</u>	<u>3,203,466,448</u>
32.1 Unsecured debentures				
Face value	2,804,450,488	3,051,970,488	2,804,450,488	3,051,970,488
Accrued interest	131,333,910	117,495,960	131,333,910	117,495,960
	<u>2,935,784,398</u>	<u>3,169,466,448</u>	<u>2,935,784,398</u>	<u>3,169,466,448</u>

32.2 Quoted - Debentures

Company and group

- a) The debentures include 10,000,000 Unsecured Redeemable Subordinated Listed Rated Debentures of Rs. 100/- each issued by the company in 2012. The Debentures are quoted on the Colombo Stock exchange in November 2013. Debenture type C of 2,475,200 were redeemed during the financial year. Remaining debentures break up are given below.

Category	Period	No of Debentures	Face Value Rs.	Interest payable	Rate of Interest
Type ' A '	05 Years	7,524,700	752,470,000	Monthly	Fixed - 20% per annum
Type ' D '	04 Years	100	10,000	Annually	Floating rate- equivalent to the one year treasury bill rate plus 3%
		<u>7,524,800</u>	<u>752,480,000</u>		

- b) The debentures include 12,000,000 Unsecured Redeemable Listed Rates Subordinated Debentures of Rs. 100/- each issued by the Company in September 2013. The Debentures are quoted on the Colombo Stock exchange. Details are given below. Debenture type 'D' issued at discount basis.

Category	Period	No of Debentures	Face Value Rs.	Interest payable	Rate of Interest
Type ' A '	03 Years	4,036,000	403,600,000	Annually	Fixed rate of 15.5% per annum
Type ' B '	04 Years	1,682,000	168,200,000	Semi annually	Fixed rate of 16% per annum
Type ' C '	05 Years	3,510,000	351,000,000	Semi annually	Fixed rate of 16.5% per annum
Type ' D '	05 Years	2,772,000	129,170,488	Annually	Zero coupon Debentures with an annually compounding AER of 16.5%
		<u>12,000,000</u>	<u>1,051,970,488</u>		

- c) The debentures include 10,000,000 Unsecured Redeemable Listed Rated Debentures of Rs. 100/- each issued by the Company in December 2014. The Debentures are quoted on the Colombo Stock exchange. Details are given below.

Category	Period	No of Debentures	Face Value Rs.	Interest payable	Rate of Interest
Type ' A '	04 Years	2,000,000	200,000,000	Annually	9% per annum
Type ' B '	05 Years	8,000,000	800,000,000	Annually	9.35% per annum
		<u>10,000,000</u>	<u>1,000,000,000</u>		

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33 OTHER FINANCIAL LIABILITIES	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
Accrued expenses	118,516,728	70,041,841	118,516,728	72,085,746
Others	765,693,840	630,794,971	771,599,379	639,645,066
	<u>884,210,568</u>	<u>700,836,812</u>	<u>890,116,107</u>	<u>711,730,812</u>
34 OTHER NON FINANCIAL LIABILITIES				
VAT payables	22,092,978	19,792,900	22,092,978	22,027,964
Other taxes payables	13,787,425	19,797,247	13,787,425	19,797,247
	<u>35,880,403</u>	<u>39,590,147</u>	<u>35,880,403</u>	<u>41,825,211</u>
35 INCOME TAX LIABILITY				
Receivable from Inland Revenue Department	(65,449,990)	-	(65,449,990)	-
Current tax liabilities	128,404,723	-	133,040,672	-
	<u>62,954,733</u>	<u>-</u>	<u>67,590,682</u>	<u>-</u>
36 RETIREMENT BENEFIT OBLIGATIONS				
<u>Retirement Benefit Obligations - Gratuity</u>				
36.1 Liability Recognized in the Balance sheet				
Balance at the beginning of the year	99,773,999	63,151,656	100,758,137	64,402,445
Amount charged/(reversed) for the year (Note - 36.2)	15,930,995	50,104,558	16,127,641	49,837,907
Transfer to gratuity trust fund	(20,000,000)	(12,550,308)	(20,000,000)	(12,550,308)
Payments made during the year	(4,467,476)	(931,907)	(4,587,476)	(931,907)
Balance at the end of the year	<u>91,237,518</u>	<u>99,773,999</u>	<u>92,298,302</u>	<u>100,758,137</u>
36.2 Amount Recognised in Profit or Loss				
Current service cost for the year	22,055,492	20,559,150	22,247,891	20,237,123
Interest cost for the year	19,208,727	13,702,545	19,301,582	13,779,384
Expected return on plan assets	(9,151,836)	(7,387,379)	(9,151,836)	(7,387,379)
	<u>32,112,383</u>	<u>26,874,316</u>	<u>32,397,637</u>	<u>26,629,127</u>
Amount Recognised in Other Comprehensive Income				
Net actuarial (gain)/ loss	(16,181,388)	23,230,242	(16,269,996)	23,208,779
Amount Charged/(Reversed) for the year	<u>15,930,995</u>	<u>50,104,558</u>	<u>16,127,641</u>	<u>49,837,907</u>
36.3 Assumptions				
Discount rate	11%	10%	11%	11%
Salary scale	10%	12%	10%	10%
Mortality table	A 67/70	A 67/70	A 67/70	A 67/70
Staff turnover	15%	14%	15%	24%

Retirement age Normal retirement age, or age on valuation date, if greater.

An actuarial valuation of the gratuity was carried out as at 31st March 2016 by Actuarial & Management Consultants (Pvt) Limited, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the "Projected Unit Credit Method", recommended by LKAS 19

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37 DEFERRED INCOME TAX ASSETS AND LIABILITIES

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
<u>Deferred tax liabilities</u>				
Balance at 01st April	143,545,449	106,302,413	143,856,645	106,729,652
Recognised in profit & loss	49,272,920	37,243,036	49,077,461	37,126,993
Balance as at 31st March	192,818,369	143,545,449	192,934,106	143,856,645
<u>Deferred tax assets</u>				
Balance at 01st April	151,123,290	194,820,518	151,398,849	195,025,113
Recognised in profit & loss	67,277,392.24	(57,494,458)	67,298,854	(57,494,458)
Recognised in other comprehensive income	(4,530,789)	13,797,230	(4,530,789)	13,868,194
Balance as at 31st March	213,869,894	151,123,290	214,166,914	151,398,849
Deferred tax liabilities/(Asset) -net	(21,051,525)	(7,577,841)	(21,232,808)	(7,542,204)

37.1 Recognised Deferred Tax Assets and Liabilities

<u>Liabilities</u>				
Accelerated depreciation - Own assets	-	44,761,673	115,737	45,072,869
- Leased assets	13,787,892	10,630,786	13,787,892	10,630,786
Lease rentals	179,030,477	88,152,990	179,030,477	88,152,990
	192,818,369	143,545,449	192,934,106	143,856,645
<u>Assets</u>				
Defined benefit obligation	25,546,505	27,936,720	25,843,526	28,212,279
Own assets	50,790,346	-	50,790,346	-
Others	15,236,873	6,308,630	15,236,873	6,308,630
Tax loss carried forward	122,296,169	70,855,222	122,296,169	70,855,222
Unclaimed tax refunds	-	46,022,718	-	46,022,718
	213,869,894	151,123,290	214,166,914	151,398,849

38 STATED CAPITAL

	Company		Group	
	2016	2015	2016	2015
	Rs.	Rs.	Rs.	Rs.
38.1 Issued and Fully Paid-Ordinary shares				
Rs. 10/- each 2,430,000 ordinary shares	24,300,000	24,300,000	24,300,000	24,300,000
	24,300,000	24,300,000	24,300,000	24,300,000

During the financial year the company not issued shares through IPO, rights or bonus issue of shares.

38.2 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled to one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

Shares in the Alliance Finance Company are quoted in the Colombo Stock Exchange.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the Financial year ended 31st March 2016

39 RETAINED EARNINGS

	Company		Group	
As at 31st March	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
As at 01 April	598,539,503	494,269,442	629,321,313	494,269,442
Dividend paid	(126,360,000)	(48,600,000)	(126,360,000)	(60,108,239)
Profit for the year	415,317,006	202,903,073	426,191,375	364,061,201
Repurchase of shares	-	-	-	(118,981,967)
Adjustment on actuarial gain / (losses) on defined benefit plan	11,650,599	(9,433,012)	11,707,261	(9,319,123)
Transfers to statutory reserve fund	(83,060,000)	(40,600,000)	(83,060,000)	(40,600,000)
As at 31 March	<u>816,087,109</u>	<u>598,539,503</u>	<u>857,799,949</u>	<u>629,321,313</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.

40 RESERVES

	Company			Group		
As at 31st March	2015 Rs.	Transfers Rs.	2016 Rs.	2015 Rs.	Transfers Rs.	2016 Rs.
Available for sale reserve (Note 40.1)	21,681,789	(15,616,362)	6,065,428	21,681,789	(15,616,362)	6,065,427
Capital reserve (Note 40.2)	479,906,644	-	479,906,644	479,906,644	-	479,906,644
Development reserve	108,141,275	(108,141,275)	-	108,141,275	(108,141,275)	-
Diversification risk reserve	255,000,000	(255,000,000)	-	255,000,000	(255,000,000)	-
Dividend equalization reserve	7,000,000	(7,000,000)	-	7,000,000	(7,000,000)	-
General reserve	453,300,000	370,141,275	823,441,275	453,300,000	370,141,275	823,441,275
Investment fund reserve (Note 40.3)	83,216,780	-	83,216,780	83,216,780	-	83,216,780
Statutory reserve fund (Note 40.4)	418,257,400	83,060,000	501,317,400	418,257,400	83,060,000	501,317,400
	<u>1,826,503,888</u>	<u>67,443,638</u>	<u>1,893,947,527</u>	<u>1,826,503,889</u>	<u>67,443,638</u>	<u>1,893,947,526</u>

The Board decided to consolidate the reserves, thereby Dividend Equalization Reserve of Rs. 7mn, Diversification Risk Reserve Rs. 255Mn, Development Reserve Rs.108.14Mn were transferred to the General Reserve increasing the Reserve from Rs. 453.3Mn to 823.44 Mn. The Company maintains the General Reserve to retain funds for future expansion.

40.1 Available for Sale Reserve

	Company		Group	
	2016 Rs.	2015 Rs.	2016 Rs.	2015 Rs.
Balance as at 01 April	21,681,789	108,517,572	21,681,789	108,517,572
Sri Lanka government securities	(1,250,070)	9,398,622	(1,250,070)	9,398,622
Equity securities - un quoted	(14,366,292)	3,198,521	(14,366,292)	3,198,521
Transfer of realized gain/(loss) on available for sale financial assets	-	(99,432,926)	-	(99,432,926)
	<u>6,065,428</u>	<u>21,681,789</u>	<u>6,065,427</u>	<u>21,681,789</u>

40.2 Capital Reserve - Revaluation Reserve

The Capital Reserves represents the increase in the fair value of the land & buildings at the date of revaluation. The Company revalues its freehold lands and buildings in every three to five years, unless significant changes in fair values indicate it may be necessary to revalue freehold lands and buildings on an earlier date, to ensure that the carrying amounts do not differ materially from the fair values at the end of the reporting date.

The Company treats 50% of the revaluation surplus as supplementary capital in the Tier II Capital Base in the computation of the Risk Weighted Capital Adequacy Ratio in accordance with the Central Bank of Sri Lanka, Finance Companies (Risk Weighted Capital Adequacy Ratio) Direction No.2 of 2006.

40.3 Investment Fund Reserve

Investment fund reserve is a free reserve and have been added to core capital of the company.

40.4 Reserve Fund

20% of profits after tax of 2016 is transferred to the Reserve Fund to fulfill the minimum requirement of the Section 3 (b) of Finance Companies (Capital Funds) Direction No.1 of 2003. This balance in the Statutory Reserve Fund will be used only for the purposes specified in the Finance Business Act, No.42 of 2011.

Alliance Finance Company PLC**NOTES TO THE FINANCIAL STATEMENTS****For the Financial year ended 31st March 2016****41 COMPARATIVE FIGURES**

The comparative information is re-classified where ever necessary to confirm with the current year's classification in order to provide a better presentation.

Statement of Profit & Loss	Presentation in 2015 Rs.	Reclassification Rs.	Presentation in 2016 Rs.
Impairment (charges) / reversal for loans and other losses	643,566,670	245,227,950	398,338,720
Other operating expenses	812,766,631	179,132,758	633,633,873
Gold loan auction losses	-	-	424,360,708
	<u>1,456,333,301</u>	<u>424,360,708</u>	<u>1,456,333,301</u>

Alliance Finance Company PLC

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For the Financial year ended 31st March 2016

42 SEGMENT REPORT

For the Financial year ended 31st March 2016

	<i>Leasing</i>	<i>Hire Purchase & Consumer Durables</i>	<i>Loans</i>	<i>Pawning</i>	<i>Hire of vehicles</i>	<i>Investing in Shares</i>	<i>Investing in Government Securities</i>	<i>Collaboration Finance</i>	<i>Others</i>	<i>Total</i>
REVENUE										
External sales	8,559,446,796	814,852,166	1,208,541,818	101,533,619	47,698,979	44,341,707	130,481,201	33,396,878	204,630,602	11,144,923,766
Inter-segment sales	-	-	-	-	-	-	-	-	-	-
Total revenue	8,559,446,796	814,852,166	1,208,541,818	101,533,619	47,698,979	44,341,707	130,481,201	33,396,878	204,630,602	11,144,923,766
<i>Total income</i>	<i>2,689,946,108</i>	<i>197,586,713</i>	<i>1,233,935,002</i>	<i>101,533,619</i>	<i>47,698,979</i>	<i>11,417,189</i>	<i>180,254,299</i>	<i>19,044,494</i>	<i>135,198,979</i>	<i>4,616,615,381</i>
RESULTS										
Segment results	1,751,831,888	177,818,037	707,061,903	(201,497,766)	22,017,489	(21,981,048)	141,931,366	19,044,494	134,943,521	2,731,169,884
Unallocated company expenses										(319,408,821)
<i>Operating profit</i>										<i>2,411,761,062</i>
Interest expense	(1,025,063,127)	(35,696,657)	(405,150,706)	(27,228,418)	(12,764,013)	(17,307,468)	(135,630,176)	(138,403)	(209,455,804)	(1,868,434,772)
Share of profits of associates before tax										14,258,539
Loss on change of interest in associate										(3,153,928)
Income taxes										(122,106,751)
Net Profit										432,324,151
OTHER INFORMATION										
Segment assets	13,283,110,374	462,569,201	5,250,078,167	352,834,929	165,400,341	224,275,954	1,757,541,117	1,793,477	2,714,198,269	24,211,801,828
Investment in associates										68,158,680
Unallocated company assets										1,688,238,058
Total assets										25,968,198,566
Segment liabilities	11,908,719,823	407,314,813	4,622,950,686	310,688,418	145,643,092	197,485,950	1,547,600,941	1,579,244	2,389,984,368	21,531,967,335
Unallocated company liabilities										1,627,108,036
Total liabilities										23,159,075,371

Alliance Finance Company PLC

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For the Financial year ended 31st March 2016

SEGMENT REPORT

For the Financial year ended 31st March 2015

	<i>Leasing</i>	<i>Hire Purchase & Consumer Durables</i>	<i>Loans</i>	<i>Pawning</i>	<i>Hire of vehicles</i>	<i>Investing in Shares</i>	<i>Investing in Government Securities</i>	<i>Collaboration Finance</i>	<i>Others</i>	<i>Total</i>
REVENUE										
External sales	7,064,493,927	1,398,013,147	706,590,783	126,890,596	52,791,722	631,604,331	115,946,580	80,867,798	128,958,583	10,306,157,467
Inter-segment sales	-	-	-	-	-	-	-	-	-	-
<i>Total revenue</i>	<u>7,064,493,927</u>	<u>1,398,013,147</u>	<u>706,590,783</u>	<u>126,890,596</u>	<u>52,791,722</u>	<u>631,604,331</u>	<u>115,946,580</u>	<u>80,867,798</u>	<u>128,958,583</u>	<u>10,306,157,467</u>
<i>Total income</i>	2,436,263,938	381,116,290	707,729,078	126,890,596	52,791,721	631,604,331	137,177,497	7,549,292	107,244,882	4,588,367,625
RESULTS										
<i>Segment results</i>	1,570,187,441	258,727,376	452,409,116	(201,894,677)	8,307,925	636,185,719	132,063,876	7,549,292	105,309,588	2,968,845,656
Unallocated company expenses										(577,126,183)
<i>Operating profit</i>										2,391,719,474
Interest expense	(980,965,717)	(109,520,979)	(295,131,631)	(68,145,503)	(21,438,474)	(25,536,410)	(156,060,289)	(889,371)	(164,043,090)	(1,821,731,464)
Share of profits of associates before tax										15,835,911
Income taxes										(79,155,981)
<i>Net Profit</i>										<u>506,667,939</u>
OTHER INFORMATION										
Segment assets	10,069,293,475	1,124,197,171	3,029,430,037	699,491,390	220,058,947	262,122,927	1,601,908,018	9,129,100	1,683,848,877	18,699,479,942
Investment in Associates and Subsidiaries										69,875,364
Unallocated company assets										1,235,417,683
<i>Total assets</i>										<u>20,004,772,988</u>
Segment liabilities	8,822,597,326	972,962,657	2,621,890,869	605,391,135	190,455,147	226,860,400	1,386,408,649	7,900,993	1,457,326,276	16,291,793,451
Unallocated company liabilities										1,205,943,341
<i>Total liabilities</i>										<u>17,497,736,791</u>

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For the Financial year ended 31st March 2016

43 FAIR VALUE OF FINANCIAL INSTRUMENTS

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the instruments. The amounts are based on the values recognised in the Statement of Financial Position.

43.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation techniques.

Level 1 : Quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2: Other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly.

Level 3: Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy.

Company

As at 31st March 2016

Financial Assets	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Investments - Held for Trading				
Government of Sri Lanka treasury bonds	-	583,697,462	-	583,697,462
Quoted equities	198,773,769	-	-	198,773,769
Financial Investments - Available for Sale				
Government of Sri Lanka treasury bonds	-	438,251,912	-	438,251,912
Unquoted equities	-	-	12,002,185	12,002,185
Investments in unit trusts	-	-	298,530,171	298,530,171
Total Financial Assets	198,773,769	1,021,949,375	310,532,356	1,531,255,500

As at 31st March 2015

Financial Assets	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Investments - Held for Trading				
Government of Sri Lanka treasury bonds	-	503,673,554	-	503,673,554
Quoted equities	217,682,266	-	-	217,682,266
Financial Investments - Available for Sale				
Government of Sri Lanka treasury bonds	-	495,274,211	-	495,274,211
Unquoted equities	-	-	44,440,661	44,440,661
Investments in unit trusts	-	-	639,374,876	639,374,876
Total Financial Assets	217,682,266	998,947,765	683,815,537	1,900,445,568

Group

As at 31st March 2016

Financial Assets	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Investments - Held for Trading				
Government of Sri Lanka treasury bills	-	583,697,462	-	583,697,462
Quoted equities	198,773,769	-	-	198,773,769
Financial Investments - Available for Sale				
Government of Sri Lanka treasury bills	-	438,251,912	-	438,251,912
Unquoted equities	-	-	25,502,185	25,502,185
Investments in unit trusts	-	-	376,978,352	376,978,352
Total Financial Assets	198,773,769	1,021,949,375	402,480,537	1,623,203,681

As at 31st March 2015

Financial Assets	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Investments - Held for Trading				
Government of Sri Lanka treasury bills	-	503,673,554	-	503,673,554
Quoted equities	217,682,266	-	-	217,682,266
Financial Investments - Available for Sale				
Government of Sri Lanka treasury bills	-	495,274,211	-	495,274,211
Unquoted equities	-	-	44,440,661	44,440,661
Investments in unit trusts	-	-	711,804,708	711,804,708
Total Financial Assets	217,682,266	998,947,765	756,245,369	1,972,875,399

Alliance Finance Company PLC
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FAIR VALUE OF FINANCIAL INSTRUMENTS (Continued.)

43.2 Determination of Fair Value and Fair Value Hierarchy

Set out below is the comparison, by classes, of the carrying amounts of fair values of the Company's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of non- financial assets and non- financial liabilities.

Company	2016		2015	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	143,982,481	143,982,481	118,573,049	118,573,049
Repurchase agreement	735,591,742	735,591,742	602,960,253	602,960,253
Placement with banks & other financial institutions	1,834,356,115	1,834,356,115	390,218,289	390,218,289
Loans and advances	5,603,981,321	5,552,831,650	3,729,449,078	3,624,998,677
Lease rentals receivable	13,283,110,374	11,452,250,737	10,069,293,475	9,341,171,747
Hirepurchase receivables	462,569,201	418,162,462	1,124,197,171	1,051,571,510
Other financial assets	181,511,534	181,511,534	134,825,966	134,825,966
Total Financial Assets	22,245,102,768	20,318,686,721	16,169,517,281	15,264,319,491
Financial Liabilities				
Due to banks	8,328,978,742	8,328,978,742	2,929,071,347	2,929,071,347
Due to customers	10,464,149,566	10,468,429,515	10,344,065,933	10,374,946,229
Debt instruments issued and other borrowed funds	3,062,414,964	3,062,414,964	3,203,466,448	3,203,466,448
Financial liabilities	884,210,568	884,210,568	700,836,812	700,836,812
Total Financial Liabilities	22,739,753,840	22,744,033,789	17,177,440,540	17,208,320,836
Group	2016		2015	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	177,180,931	177,180,931	168,247,616	168,247,616
Repurchase agreement	735,591,742	735,591,742	602,960,253	602,960,253
Placement with banks & other financial institutions	1,834,356,115	1,834,356,115	390,218,289	390,218,289
Loans and advances	5,604,087,836	5,552,831,650	3,729,589,128	3,624,998,677
Lease rentals receivable	13,283,110,374	11,452,250,737	10,069,293,475	9,341,171,747
Hirepurchase receivables	462,569,201	418,162,462	1,124,197,171	1,051,571,510
Other financial assets	178,653,619	178,653,619	121,319,177	121,319,177
Total Financial Assets	22,275,549,818	20,349,027,256	16,205,825,109	15,300,487,269
Financial Liabilities				
Due to banks	8,353,691,241	8,353,691,241	2,952,033,605	2,929,071,347
Due to customers	10,464,149,566	10,468,429,515	10,344,065,933	10,374,946,229
Debt instruments issued and other borrowed funds	3,062,414,964	3,062,414,964	3,203,466,448	3,203,466,448
Financial liabilities	890,116,107	890,116,107	711,730,812	700,836,812
Total Financial Liabilities	22,770,371,878	22,774,651,827	17,211,296,798	17,208,320,836

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FAIR VALUE OF FINANCIAL INSTRUMENTS (Continued.)
Fair Value of Financial Assets and Liabilities not Carried at Fair Value

The following describes the methodologies and assumptions used to determine the fair values for those financial instruments which are not already recorded at fair value in the Financial Statements.

Assets for which Fair Value Approximates Carrying Value

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. This assumption is also applied to fixed deposits, certificate of deposits and savings deposits without a specific maturity.

Long term deposits accepted from customers for which periodical interest is paid and loans and advances granted to customers with a variable rate are also considered to be carried at fair value in the books.

Fixed Rate Financial Instruments

Carrying amounts are considered as fair values for short term credit facilities. Loans and Advances with fixed interest rates were fair valued using market rates at which fresh loans were granted during the fourth quarter of the reporting year. Conversely, fixed deposits with original tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the fourth quarter of the reporting year. For quoted debt issued the fair value are determined based on quoted market prices.

44 COMMITMENTS AND CONTINGENCIES

In the normal course of the business, the Company makes various commitments and incurs certain contingent liabilities. No material losses are anticipated as a result of these transactions.

There were no capital commitments or contingent liabilities as at the end of the reporting date which requires separate disclosure to these Financial Statements.

44.1 Litigations Against the Company

Litigation is a common occurrence in the Finance Industry due to the nature of the business undertaken. The Company has formal controls and policies for managing legal claims. No material losses are anticipated as a result of there transactions

45 EVENTS AFTER THE REPORTING PERIOD

Subsequent to the reporting date, no circumstances have arisen which would required adjustment to or disclosure in the Financial Statements.

Alliance Finance Company PLC

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45 MATURITY ANALYSIS OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

An analysis of financial assets and financial liabilities based on the remaining period at the end of the reporting date to the respective contractual maturity dates is as follows.

As at 31st March 2016	Up to 3 Months	3 to 12 Months	1 to 3 Years	3 to 5 Years	More than 5 Years	Total as at 31/03/2016
Financial Assets	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	143,982,481	-	-	-	-	143,982,481
Repurchase agreements	735,591,742	-	-	-	-	735,591,742
Placements with banks & financial institutions	345,084,626	1,489,271,488	-	-	-	1,834,356,115
Financial investments - Held for trading	957,904,524	123,096,879	-	-	-	1,081,001,403
Loans and advances	1,838,064,766	2,613,773,060	799,377,494	348,230,004	4,535,995	5,603,981,319
Lease rentals receivable & stock out on hire	1,450,896,617	3,391,120,548	6,119,837,765	2,297,760,863	23,494,582	13,283,110,375
Hirepurchase rentals receivable & stock out on hire	92,477,556	152,905,790	206,830,105	10,355,751	-	462,569,202
Financial investments - Available for sale	11,819,558	15,975,100	16,622,400	16,622,400	389,214,639	450,254,097
Other financial assets	84,693,620	36,063,459	51,011,124	9,743,330	-	181,511,533
Total Assets	5,660,515,490	7,822,206,324	7,193,678,888	2,682,712,348	417,245,216	23,776,358,268
Financial Liabilities						
Due to banks	1,519,940,922	3,189,079,785	2,924,050,724	644,977,586	50,929,726	8,328,978,742
Due to customers	2,800,364,836	4,666,977,340	2,830,503,448	166,303,942	-	10,464,149,566
Debt instruments issued and other borrowed funds	137,391,342	464,089,076	1,600,840,488	860,094,060	-	3,062,414,964
Other financial liabilities	785,909,653	98,300,915	-	-	-	884,210,568
Total Liabilities	5,243,606,753	8,418,447,116	7,355,394,659	1,671,375,587	50,929,726	22,739,753,840
Net Financial Assets/ (Liabilities)	416,908,737	(596,240,791)	(161,715,771)	1,011,336,761	366,315,490	1,036,604,428
As at 31st March 2015	Up to 3 Months	3 to 12 Months	1 to 3 Years	3 to 5 Years	More than 5 Years	Total as at 31/03/2015
Financial Assets	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	118,573,049	-	-	-	-	118,573,049
Repurchase agreements	602,960,253	-	-	-	-	602,960,253
Placements with banks & financial institutions	328,742,641	61,475,648	-	-	-	390,218,289
Financial investments - Held for trading	857,057,145	503,673,551	-	-	-	1,360,730,696
Loans and advances	1,495,527,899	1,526,643,580	510,530,533	190,301,009	6,446,058	3,729,449,078
Lease rentals receivable & stock out on hire	1,714,491,507	2,888,378,757	4,092,389,236	1,345,539,429	28,494,545	10,069,293,475
Hirepurchase rentals receivable & stock out on hire	237,170,395	341,345,261	459,231,188	86,450,327	-	1,124,197,171
Financial investments - Available for sale	12,631,416	522,596,732	13,485,554	38,485,554	469,886,388	539,714,872
Other financial assets	74,254,395	21,294,017	34,041,210	5,236,344	-	134,825,966
Total Assets	5,441,408,700	5,348,036,776	5,109,677,721	1,666,012,663	504,826,991	18,069,962,849
Financial Liabilities						
Due to banks	1,781,171,969	384,508,881	409,128,759	296,915,825	57,345,913	2,929,071,347
Due to customers	3,572,826,870	4,704,940,768	1,846,776,646	219,521,650	-	10,344,065,934
Debt instruments issued and other borrowed funds	57,768,584	273,999,295	1,358,280,000	1,513,418,568	-	3,203,466,448
Other financial liabilities	696,086,812	4,750,000	-	-	-	700,836,812
Total Liabilities	6,107,854,235	5,368,198,944	3,614,185,405	2,029,856,043	57,345,913	17,177,440,540
Net Financial Assets / (Liabilities)	(666,445,535)	(20,162,168)	1,495,492,316	(363,843,380)	447,481,078	892,522,309

Alliance Finance Company PLC
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46 RELATED PARTY TRANSACTIONS

The Company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with parties who are defined as Related Parties as per the Sri Lanka Accounting Standard - LKAS 24 'Related Party Disclosures', except for the transactions that Key Management Personnel (KMPs) have availed under schemes uniformly applicable to all staff at concessionary rates.

Details of related party transactions which the company had during the year are as follows,

46.1 Transactions with Key Managerial Personnel (KMPs)

Related party includes KMPs defined as those persons having authority and responsibility for planning directing and controlling the activities for the Company. Such KPMs include the Board of Directors of the Company (include executive and non executive Directors), executives who directly report to Board sub committees and other key executives who meet the criteria described above.

45.1.1 Key Management Personnel Compensation		2016	2015
		Rs.	Rs.
KMP's Emoluments			
	Short Term	84,371,090	79,377,030
	Long Term	13,112,120	15,894,378
		<u>97,483,210</u>	<u>95,271,408</u>
Directors Emoluments			
	Short Term	26,435,032	24,450,140
	Long Term & Post employment benefits	25,950,390	6,123,000
		<u>52,385,422</u>	<u>30,573,140</u>

46.1.2 Transactions, Arrangements and Agreements Involving KMPs, and their Close Family Members (CFMs)

CFMs of a KMPs are those family members who may be expected to influence, or be influenced by, that KMP in their dealing with the entity. They may include KMPs domestic partner and children, children of the KMPs domestic partner and dependents of the KMP or the KMPs domestic partner.

Deposits and investments from key managerial personnel and their close family members are detailed below.

Company and Group	2016	2015
	Rs.	Rs.
Fixed Deposits		
Fixed Deposits Accepted during the year	16,599,946	2,933,137
Fixed Deposits held at the end of the year	27,374,579	16,707,633
Interest payable on Fixed Deposits	852,778	625,814
Interest paid on Fixed Deposits	1,271,058	1,427,565
Debt Instruments Issued and other borrowed funds	2,016	2,015
	Rs.	Rs.
Debentures	3,520,000	7,200,000

Alliance Finance Company PLC
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For the Financial year ended 31st March 2016

46.1.3 Transaction, arrangements and agreements involving with Entities which are controlled, and /or jointly controlled by the KMP's and their CFMs or shareholders

		Company	
		2016	2015
		Rs.	Rs.
Nature of Transaction	Nature of Transaction / Facility		
M/S.Alfinco Insurance Brokers (Pvt) Ltd.	Fixed Deposits	-	12,000,000
	Commissions /reimbursements	35,694,720	35,598,484
M/S.Alliance Management Services (Private) Limited	Fixed Deposits	2,917,916	2,261,470
	Management fees	608,000	539,000
M/S.Alliance Travel Services Ltd	Fixed Deposits	5,835,135	5,469,370
M/S Xesol (Pvt) Ltd	Fixed Deposits	-	12,226,970
	Liquidation fees	6,249,763	-
M/S. Macbertan (Private) Limited	Lease rentals receivable & Stock out on hire	865,397	2,430,806
	Loan rentals receivable	1,223,478	1,896,874
M/S.Alliance Tech Trading (PVT) Ltd.	Fixed Deposits	9,008,082	7,516,622
Virtusa Pvt. Ltd	Software development fees	4,146,980	-
Alliance Ventures Pvt Ltd	Fixed Deposits	1,160,815	-

46.1.4 Parent and Ultimate Controlling Party

The Company does not have an identifiable parent of its own.

Alliance Finance Company PLC
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47 RISK MANAGEMENT

47.1 Introduction

Constantly assessing and being cognizant of the concept of risk is fundamental to the managerial philosophy of Alliance Finance Company PLC.

Consequent to the global, economic and financial crises, companies are placing greater emphasis on risk management by adopting comprehensive risk management framework to increasingly safeguard stakeholder interest. Due to diversified and geographic spread of the portfolio of businesses, Alliance Finance maintains a holistic risk management system that continuously monitors primary risk factors. Risk mitigation actions are also built in to the day-to-day operations of the Company. The Company's business divisions are closely monitored through a comprehensive computerized information system and employees, ranging from managerial credit and other officers, have been apprised and trained to adopt risk management practices as an integral part of their decision making.

Risk Coverage

The Company's Comprehensive risk management framework covers three major areas that comprise credit risk, liquidity risk, and market risk management.

Risk is inherent in the Company's activities but it is managed through a process of ongoing identification, measurement, and monitoring, subject to the risk limits and their controls.

46.2 Credit Risk

46.2.1 Credit Quality By Class Of Financial Assets

Credit risk is the risk that the company will incur a loss because its customers or counterparties fail to discharge their contractual obligations. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and industry concentrations, and by monitoring exposures in relation to such limits.

The Company has established a credit quality review process to provide early identification of possible changes in the credit worthiness of counter parties, including regular collateral revisions. Counter party limits are established by the use of a credit risk classification system, which assigns each counterparty a risk rating. Risk ratings are subject to regular revision. The credit quality review process aims to allow the Company to assess the potential loss as a result of the risks to which it is exposed and take corrective action.

Impairment assessment

For accounting purposes, the Company uses an incurred loss model for the recognition of losses on impaired financial assets. This means that losses can only be recognised when objective evidence of a specific loss event has been observed. Triggering events include the following:

- ☐ Significant financial difficulty of the customer
- ☐ A breach of contract such as a default of payment
- ☐ Where the Company grants the customer a concession due to the customer experiencing financial difficulty
- ☐ It becomes probable that the customer will enter bankruptcy or other financial reorganisation
- ☐ Observable data that suggests that there is a decrease in the estimated future cash flows from the loans

Collectively assessed allowances

Allowances are assessed collectively for losses on loans and advances that are not individually significant (including hire purchases, lease receivables, other loans and advances and consumer lending) and for individually significant loans and advances that have been assessed individually and found not to be impaired.

Alliance Finance Company PLC

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Risk Management

The Company generally bases its analyses on historical experience. However, when there are significant market changes the company would include macroeconomic factors within its assessments. These factors include, depending on the characteristics of the individual or collective assessment: unemployment rates, current levels of bad debts, changes in laws, changes in regulations, bankruptcy trends, and other consumer data. The company may use the aforementioned factors as appropriate to adjust the impairment allowances.

Allowances are evaluated separately at each reporting date with each portfolio. The collective assessment is made for groups of assets with similar risk characteristics, in order to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident in the individual loans assessments. The collective assessment takes account of data from the loan portfolio (such as historical losses on the portfolio, levels of arrears, credit utilisation, loan to collateral ratios and expected receipts and recoveries once impaired) or economic data (such as current economic conditions, unemployment levels and local or industry-specific problems). The approximate delay between the time a loss is likely to have been incurred and the time it will be identified as requiring an individually assessed impairment allowance is also taken into consideration. Company's management is responsible for deciding the length of this period, which can extend for as long as one year. The impairment allowance is then reviewed by credit management to ensure alignment with the company's overall policy.

Company

As at 31st March 2016	Notes	Neither Past Due Nor Impaired Rs.	Past Due But Not Impaired Rs.	Total Rs.
Financial Assets				
Cash and cash equivalents	17	143,982,481	-	143,982,481
Repurchase agreements		735,591,742	-	735,591,742
Placements with banks & financial institutions		1,834,356,115	-	1,834,356,115
Financial investments - Held for trading	20	1,081,001,402	-	1,081,001,402
Loans and advances	21	4,590,510,686	1,013,470,637	5,603,981,323
Lease rentals receivable & stock out on hire	22	7,134,074,132	6,149,036,242	13,283,110,374
Hire purchase rentals receivable & stock out on hire	23	166,186,750	296,382,451	462,569,201
Financial investments - Available for sale	24	450,254,097	-	450,254,097
Other financial assets	26	181,511,534	-	181,511,534
Total Financial Assets		16,317,468,939	7,458,889,330	23,776,358,269

47.2.1.1 Aging Analysis of past due (i.e. facilities in arrears of 1 day and above) but not impaired loans by class of financial assets.

	Past Due But Not Impaired				
	Less than 30 days Rs.	31 to 60 days Rs.	61 to 90 days Rs.	More than 91 days Rs.	Total Rs.
Loans and Advances	623,100,616	186,977,101	48,012,596	155,380,324	1,013,470,637
Lease rentals receivable & Stock out on hire	3,366,449,306	1,808,280,026	358,773,543	615,533,367	6,149,036,242
Hire purchase rentals receivable & Stock out on hire	136,384,548	65,717,272	19,594,595	74,686,036	296,382,451
	4,125,934,470	2,060,974,399	426,380,734	845,599,727	7,458,889,330

Group

As at 31st March 2016	Notes	Neither Past Due Nor Impaired Rs.	Past Due But Not Impaired Rs.	Total Rs.
Assets				
Cash and cash equivalents	17	177,180,931	-	177,180,931
Repurchase agreements		735,591,742	-	735,591,742
Placements with banks & financial institutions		1,834,356,115	-	1,834,356,115
Financial investments - Held for trading	18	1,159,449,583	-	1,159,449,583
Loans and advances	19	4,590,510,686	1,013,577,152	5,604,087,838
Lease rentals receivable & stock out on hire	20	7,134,074,132	6,149,036,241	13,283,110,373
Hire purchase rentals receivable & stock out on hire	21	166,186,750	296,382,450	462,569,200
Financial investments - Available for sale	22	463,754,097	-	463,754,097
Other financial assets	24	178,653,619	-	178,653,619
Total Financial Assets		16,439,757,655	7,458,995,842	23,898,753,497

47.2.1.1 Aging Analysis of past due (i.e. facilities in arrears of 1 day and above) but not impaired loans by class of financial assets

	Past Due But Not Impaired				
	Less than 30 days Rs.	31 to 60 days Rs.	61 to 90 days Rs.	More than 91 days Rs.	Total Rs.
Loans and Advances	623,100,616	187,962,612	48,012,596	155,380,324	1,014,456,148
Lease rentals receivable & Stock out on hire	3,366,449,306	1,808,280,026	358,773,543	615,533,367	6,149,036,242
Hire purchase rentals receivable & Stock out on hire	136,384,548	65,717,272	19,594,595	74,686,036	296,382,451
	4,125,934,470	2,061,959,910	426,380,734	845,599,727	7,459,874,841

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47 RISK MANAGEMENT (Continued.)

47.2 CREDIT RISK (Contd.)

Credit risk - Credit Quality by class of Financial Assets

Company

As at 31st March 2015	Notes	Neither Past Due Nor Impaired	Past Due But Not Impaired	Total
		Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	17	118,573,049	-	118,573,049
Repurchase agreements		602,960,253	-	602,960,253
Placements with banks & financial institutions		390,218,289	-	390,218,289
Financial investments - Held for trading	18	1,360,730,696	-	1,360,730,696
Loans and advances	19	2,724,259,198	1,005,189,880	3,729,449,078
Lease rentals receivable & stock out on hire	20	4,797,182,060	5,272,111,415	10,069,293,475
Hirepurchase rentals receivable & stock out on hire	21	366,076,036	758,121,135	1,124,197,171
Financial investments - Available for sale	22	539,714,872	-	539,714,872
Other financial assets	24	134,825,966	-	134,825,966
Total Financial Assets		11,034,540,419	7,035,422,430	18,069,962,849

47.2.1.1 Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not impaired loans by class of financial assets

	Past Due But Not Impaired				Total
	Less than 30 days	31 to 60 days	61 to 90 days	More than 91 days	
	Rs.	Rs.	Rs.	Rs.	Rs.
Loans and Advances	755,349,119	74,185,888	39,107,766	136,547,108	1,005,189,880
Lease rentals receivable & Stock out on hire	2,220,118,949	1,138,055,578	606,437,534	1,307,499,355	5,272,111,415
Hirepurchase rentals receivable & Stock out on hire	256,885,813	169,487,696	99,147,947	232,599,677	758,121,135
	3,232,353,881	1,381,729,162	744,693,247	1,676,646,140	7,035,422,430

Group

As at 31st March 2015	Notes	Neither Past Due Nor Impaired	Past Due But Not Impaired	Total
		Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	17	168,247,616	-	168,247,616
Repurchase agreements		602,960,253	-	602,960,253
Placements with banks & financial institutions		390,218,289	-	390,218,289
Financial investments - Held for trading	18	1,433,160,528	-	1,433,160,528
Loans and advances	19	2,724,399,248	1,005,189,880	3,729,589,128
Lease rentals receivable & stock out on hire	20	4,797,182,060	5,272,111,415	10,069,293,475
Hirepurchase rentals receivable & stock out on hire	21	366,076,036	758,121,135	1,124,197,171
Financial investments - Available for sale	22	539,714,872	-	539,714,872
Other financial assets	24	121,319,177	-	121,319,177
Total Financial Assets		11,143,278,079	7,035,422,430	18,178,700,509

47.2.1.1 Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not impaired loans by class of financial assets

	Past Due But Not Impaired				Total
	Less than 30 days	31 to 60 days	61 to 90 days	More than 91 days	
	Rs.	Rs.	Rs.	Rs.	Rs.
Loans and Advances	755,349,119	74,185,888	39,107,766	136,547,108	1,005,189,880
Lease rentals receivable & Stock out on hire	2,220,118,949	1,138,055,578	606,437,534	1,307,499,354	5,272,111,415
Hirepurchase rentals receivable & Stock out on hire	256,885,813	169,487,696	99,147,947	232,599,677	758,121,135
	3,232,353,881	1,381,729,162	744,693,247	1,676,646,140	7,035,422,430

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47.2.2 ANALYSIS OF RISK CONCENTRATION

47.2.2.1 INDUSTRY ANALYSIS

The following table shows the risk concentration by industry for the components of the Statement of Financial Position.

Sector wise Breakdown	Cash and Bank Balances	Financial Investments - Held for Trading	Loans and Advances	Financial Investments - Available for Sale	Other financial assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture & Fishing	-	-	2,835,166,862	-	-	2,835,166,862
Construction	-	-	341,498,483	-	-	341,498,483
Food, Beverages & Tobacco	-	-	2,792,910,944	-	-	2,792,910,944
Financial Services	177,180,931	-	202,489,052	-	1,834,356,115	2,214,026,098
Industry	-	-	62,703,030	-	-	62,703,030
Tourism	-	-	78,061,124	-	-	78,061,124
Government	-	583,697,462	962,815,655	438,251,912	735,591,742	2,720,356,771
Transport	-	-	4,446,160,219	-	-	4,446,160,219
Services	-	-	3,815,906,830	-	178,653,619	3,994,560,449
Consumption	-	-	439,153,188	-	-	439,153,188
Other	-	575,752,121	3,372,902,025	25,502,185	-	3,974,156,331
Total	177,180,931	1,159,449,583	19,349,767,411	463,754,097	2,748,601,476	23,898,753,498

47.2.3 Risk limit control and mitigation policies

The Company manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and groups, and to industries and countries.

The Company structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary. Limits on the level of credit risk by product and industry sector are approved monthly by the Risk Commity.

Lending limits are reviewed in the light of changing market and economic conditions and periodic credit reviews and assessments of probability of default.

Some other specific control and mitigation measures are outlined below:

Collateral

The Company employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security for funds advances, which is common practice. The Company implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The principal collateral types for loans and advances are:

- Mortgages over residential properties.
- Charges over business assets such as premises, inventory and accounts receivable.
- Charges over financial instruments such as debt securities and equities.

Longer-term finance and lending to corporate entities are generally secured; revolving individual credit facilities are generally unsecured. In addition, in order to minimise the credit loss the Company will seek additional collateral from the counterparty as soon as impairment indicators are identified for the relevant individual loans and advances.

Collateral held as security for financial assets other than loans and advances depends on the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured, with the exception of asset-backed securities and similar instruments, which are secured by portfolios of financial instruments.

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47. RISK MANAGEMENT (Contd.)

47.3 LIQUIDITY RISK & FUNDING MANAGEMENT

Liquidity risk refers to the availability of sufficient cash balances to meet new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if its credit rating falls, it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity.

The Company maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs. In addition, the Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.

Liquidity risk management process

The Company's liquidity management process, as carried out within the Company and monitored by a separate team in Company Treasury, includes:

Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met. This includes replenishment of funds as they mature or are borrowed by customers.

Maintaining a portfolio of highly marketable assets that can easily be liquidated as protection against any unforeseen interruption to cash flow;

Monitoring the liquidity ratios of the Statement of Financial Position against internal and regulatory requirements; and

Managing the concentration and profile of debt maturities.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets.

Company Treasury also monitors unmatched medium-term assets, the level and type of undrawn lending commitments, the usage of overdraft facilities and the impact of contingent liabilities such as standby letters of credit and guarantees.

47.3.1 STATUTORY LIQUID ASSET RATIO

As per the requirements of Finance Companies (Liquid Assets) Direction No. 01 of 2009, Company has to maintain minimum liquid assets, not less than the total of,

(i) Ten per cent of

(a) The outstanding value of the time deposits received by the finance company at the close of the business on such day, and

(b) the face value of certificate of deposits issued by the finance company; as appearing on the books of the finance company at the close of the business of such day and

(ii) Fifteen per cent of the outstanding value of savings deposits accepted by such company, at the close of the business on such day.

As at 31st March 2016, the Company maintained Statutory Liquid Asset ratio at 12.81%.

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47. RISK MANAGEMENT (Contd.)
47.3.2 ANALYSIS OF FINANCIAL ASSETS AND LIABILITIES BY REMAINING CONTRACTUAL MATURITIES

The table below summarises the maturity profile of the undiscounted cash flows of the Company's financial assets and liabilities as at 31 March 2016.

	On Demand	Less than 03 Months	3-12Months	12-60 Months	Over 60 Months	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial Assets						
Cash and cash equivalents	143,982,481	-	-	-	-	143,982,481
Repurchase agreement	735,591,742	-	-	-	-	735,591,742
Placement with banks & other financial institution	-	345,084,626	1,489,271,488	-	-	1,834,356,115
Financial investments - held for trading	957,904,524	123,096,879	-	-	-	1,081,001,402
Loans and advances	-	1,838,064,766	2,613,773,060	1,147,607,498	4,535,995	5,603,981,319
Lease rentals receivable & stock out on hire	-	1,450,896,616	3,391,120,548	8,417,598,628	23,494,582	13,283,110,373
Hirepurchase rentals receivable & stock out on hire	-	92,477,555	152,905,790	217,185,856	-	462,569,200
Financial investments - available for sale	-	11,819,558	15,975,100	33,244,800	389,214,639	450,254,097
Other financial assets	-	84,693,620	36,063,459	60,754,454	-	181,511,533
Total Financial Assets	1,837,478,747	3,946,133,621	7,699,109,446	9,876,391,236	417,245,216	23,776,358,263
Financial Liabilities						
Due to banks	246,374,222	1,273,566,700	3,189,079,785	3,569,028,309	50,929,726	8,328,978,742
Due to customers	677,669,474	2,122,695,362	4,666,977,340	2,996,807,389	-	10,464,149,566
Debt instruments issued and other borrowed funds	-	137,391,342	464,089,076	2,460,934,547	-	3,062,414,964
Other financial liabilities	618,731,643	167,178,010	98,300,915	-	-	884,210,568
Total Financial Liabilities	1,542,775,339	3,700,831,413	8,418,447,116	9,026,770,246	50,929,726	22,739,753,840
Total Net Financial Assets/(Liabilities)	294,703,408	245,302,207	(719,337,670)	849,620,990	366,315,490	1,036,604,423

Assets held for managing liquidity risk

The Company holds a diversified portfolio of cash and high-quality highly-liquid securities to support payment obligations and contingent funding in a stressed market environment. The Company's assets held for managing liquidity risk comprise:

- * Cash and balances with central banks;
- * Certificates of deposit;
- * Government bonds and other securities that are readily acceptable in repurchase agreements with central banks; and
- * Secondary sources of liquidity in the form of highly liquid instruments in the Company's trading portfolios.

47.4 MARKET RISK

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, commodity prices and equity prices. The Company classifies exposures to market risk into either trading or non-trading portfolios and manages each of those portfolios separately.

47.4.1 INTEREST RATE RISK

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments. The Board has established limits on the non-trading interest rate gaps for stipulated periods. The Company's policy is to monitor positions on a daily basis and hedging strategies are used to ensure positions are maintained within the established limits.

47.4.2 INTEREST RATE SENSITIVITY

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the company's Income Statement & Equity.

Currency of Borrowings/ Advance	Increase (Decrease) in basis points 2016	Rs. Sensitivity of Profit or Loss 2016	Rs. Sensitivity of Equity 2016
Long term lons linked to AWPLR	+100/ (-100)	(21,156,993)/21,156,993	(21,156,993)/21,156,993

Alliance Finance Company PLC

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For the Financial year ended 31st March 2016

47. RISK MANAGEMENT (Contd.)

47.4 MARKET RISK (Contd.)

47.4.3 INTEREST RATE RISK EXPOSURE ON NON TRADING FINANCIAL ASSETS & LIABILITIES

The table below analyses the company's interest rate risk exposure on financial assets & liabilities. The company's assets & liabilities are included at carrying amount and categorized by the earlier of contractual repricing or maturity dates.

	Up to 03 Months	03-12 Months	01-05 Years	Over 05 Years	Non interest bearing	Total as at
	Rs.	Rs.	Rs.	Rs.	Rs.	31/03/2016 Rs.
Assets						
Cash and Cash Equivalents	-	-	-	-	143,982,481	143,982,481
Loans and Advances	1,838,064,766	2,613,773,060	1,147,607,498	4,535,995	-	5,603,981,319
Lease rentals receivable & Stock out on hire	1,450,896,617	3,391,120,547	8,417,598,628	23,494,582	-	13,283,110,374
Hirepurchase rentals receivable & Stock out on hire	92,477,556	152,905,790	217,185,856	-	-	462,569,201
Financial Investments - Available for Sale	-	-	-	-	450,254,097	450,254,097
Other financial assets	-	-	-	-	181,511,533	181,511,533
Total Financial Assets	3,381,438,939	6,157,799,398	9,782,391,982	28,030,577	775,748,111	20,125,409,006
Financial Liabilities						
Due to Banks	1,519,940,922	3,189,079,785	3,569,028,309	50,929,726	-	8,328,978,742
Due to Customers	2,800,364,836	4,666,977,340	2,996,807,389	-	-	10,464,149,566
Debt Instruments Issued and Other borrowed funds	137,391,342	464,089,076	2,460,934,547	-	-	3,062,414,964
Other Financial Liabilities	-	-	-	-	884,210,568	884,210,568
Total Financial Liabilities	4,457,697,100	8,320,146,201	9,026,770,245	50,929,726	884,210,568	22,739,753,840
Interest Sensitivity Gap	(1,076,258,161)	(2,162,346,803)	755,621,737	(22,899,149)	(108,462,456)	(2,614,344,834)

NOTES TO THE FINANCIAL STATEMENTS

For the Financial year ended 31st March 2016

47. RISK MANAGEMENT (Contd.)

47.5 OPERATIONAL RISK

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.

48 CAPITAL

The Company maintains an activity managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Capital Management

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

The Company's objectives when managing capital, which is a broader concept than the 'equity' on the face of the consolidated statement of financial position, are:

- To comply with the capital requirements set by the regulators of the financing markets where the entities within the Company operate;
- To safeguard the Company's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored daily by the Company's management, employing techniques based on the guidelines

developed by the Central Bank of Sri Lanka, for supervisory purposes. The required information is filed with the Authority on a quarterly basis.

The Company maintains a ratio of total regulatory capital to its risk-weighted assets above a minimum level agreed with the Authority which takes into account the risk profile of the Company.

The regulatory capital requirements are strictly observed when managing economic capital. The Company's regulatory capital is managed by each month by board of directors and comprises two tiers:

• Tier 1 capital

Tier 1' Capital is capital which is permanently and freely available to absorb losses without a finance company being obliged to cease trading. An example of Tier 1' Capital is the paid up ordinary share capital of a finance company. Tier 1' Capital is important because it safeguards both the survival of a finance company and stability of the financial system.

• Tier 2 capital:

Tier 2 Capital is capital which generally absorbs losses only in the event of a winding up of a finance company, and so provides a lower level of protection for depositors and other creditors. Tier - 2' Capital includes revaluation reserve, general provisions and hybride capital instruments and approved subordinated term debts.

Equity Investments in Unconsolidated Financial and Banking subsidiaries are deducted from Tier 1 and Tier 2 capital to arrive at the Capital Base.

The risk weighted assets are measured using the Risk Weight % and Principal Amount of On Balance Sheet Items.

The table below summarises the composition of regulatory capital and the ratios of the Company for the years ended 31 March 2016 and 2015 During those two years, the Company has complied with all of the externally imposed capital requirements to which they are subject.

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the Financial year ended 31st March 2016

Capital Base	31.03.2016
	Rs.
Tier 1: Core Capital	
Issued and Paid up Share Capital	350,000
Statutory Reserve Fund	501,317,400
General Reserves	823,441,275
Published Retained Profit	816,087,109
Total Tier 1: Capital	2,141,195,784
Tire 1: Supplementary Capital	
Capital Reserves (Revaluation)	239,953,322
Shares issued against Approved Reserves	11,975,000
General Provisions	-
Eligible Approved Unsecured Subordinated Term Debt	503,449,744
Total Tier 2: Capital	755,378,066
Deductions	
Equity Investments in unconsolidated banking and financial subsidiaries	50,867,186
Capital Base	2,845,706,664

Capital Adequacy Ratio			31.03.2016
Core Capital Ratio (Minimum 5%)	Tier 1 Capital	* 100	9.71%
	Risk Weighted Assets		
Total Risk Weighted Capital Ratio (Minimum 10%)	Capital Base	*100	12.90%
	Risk Weighted Assets		

1. CORPORATE INFORMATION**1.1 General**

Alliance Finance Company PLC (the 'Company') is a public limited liability Company listed on the Colombo Stock Exchange and incorporated on July 18, 1956 under the Companies Ordinance No 51 of 1938 and domiciled in Sri Lanka. It is a Registered Finance Company regulated under the Finance Business Act No.42 of 2011 and amendments thereto. The Company is re-registered under the new Companies Act No 7 of 2007. The registered office of the Company and the principal place of business are both situated at No.84, Ward Place, Colombo 07.

1.2 Consolidated Financial Statements

Consolidated Financial Statements of the Group for the year ended 31st March 2016 comprises the Company and its Subsidiaries (together referred to as the "Group" and individually as 'Group entities'). The subsidiary company of the Group as at 31st March 2016 was Alfinco Insurance Brokers (Pvt) Ltd.

All the Group entities are limited liability Companies, incorporated and domiciled in Sri Lanka.

1.3 Principal Activities and Nature of Operations**1.3.1 The Company**

During the year under review the Company provides a comprehensive range of financial services encompassing accepting deposits, lease financing, hire purchase financing, mortgage loans, pawning, term loans and other credit facilities, operating leases, vehicle hiring, consumer credit, micro financing activities and other financial services.

1.3.2 Subsidiaries

Ownership of Subsidiaries as of 31st March 2016 is given below

Subsidiary	Principal Activities	Ownership %
Alfinco Insurance Brokers (Pvt) Ltd	Insurance Brokering	63.93

2. BASIS OF PREPARATION

2.1 Statement of compliance

The Financial Statements of the Company and those consolidated with such comprise of the Statement of Financial Position, Statement of Profit or Loss, Statement of Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flow, together with Accounting Policies and Notes. Financial Statements have been prepared in accordance with Sri Lanka Accounting Standards comprising of Sri Lanka Financial Reporting Standards and Lanka Accounting Standards (hereafter referred as “SLFRS”), laid down by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007.

The presentation of the financial statements is also in compliance with the requirements of the Finance Business Act No. 42 of 2011 and amendments thereto, and provides appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange.

2.2 Responsibility for Financial Statements

The Board of Directors is responsible for the preparation and presentation of the Financial Statements of the Group and the Company as per Sri Lanka Accounting Standards and the provisions of the Companies Act No. 7 of 2007.

2.3 Date of Authorization for Issue

The Financial Statements for the year ended 31st March 2016 were approved and authorized for issue in accordance with a resolution of the Board of Directors on 31st May 2016.

2.4 Basis of measurement

The Consolidated Financial Statements have been prepared on the historical cost basis, except for the following material items in the Statements of Financial Position.

- Non derivative financial instruments at fair value through profit or loss are measured at fair value
- Available for sale financial assets are measured at fair value
- Liability for defined benefit obligations is recognized as the present value of the defined benefit obligation.
- Land and buildings which are measured at cost at the time of acquisition, subsequently measured at revalued amounts, which are the fair values at the date of revaluation.

2.5 Functional and presentation currency

The Financial Statements are presented in Sri Lankan Rupees which is the Group’s functional and presentation currency. All financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee, unless otherwise stated.

2.6 Presentation of financial statements

The Groups presents its Statement of Financial Position broadly in order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in note 45.

2.7 Materiality & Aggregation

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions are presented separately, unless they are immaterial.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by any Accounting Standard or interpretations, and as specifically disclosed in the accounting policies.

2.8 Comparative Information

The comparative information is re-classified wherever necessary to conform to the current year's presentation.

2.9 Use of significant accounting Judgments, Estimates and Assumptions

The preparation of the Consolidated Financial Statements in conformity with Sri Lanka Accounting Standards, requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about critical judgments, estimates and assumptions in applying accounting policies that could have a significant effect on the Financial Statements of the Group are as follows:

2.9.1 Going Concern

The Directors have made an assessment of its ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Directors are not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Group. Therefore, the Financial Statements continue to be prepared on a going concern basis.

2.9.2 Useful life-time of the Property and equipment

The Group review the residual values, useful lives and methods of depreciation of assets at each reporting date. Judgement of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.9.3 Impairment Losses on Loans and Advances (Leases, Hire Purchase & Other Loans)

The Group review its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided for in the Statement of Profit or Loss. In particular, management's judgment is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance made.

Loans and advances that have been assessed individually and found to be not impaired or not individually significant and all individually insignificant loans and advances are then assessed collectively, to determine whether provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident.

The collective provision for groups of homogeneous loans is established using statistical methods or, a formula approach based on historical loss rate experience, using the statistical analysis of historical data on delinquency to estimate the amount of loss. Management applies judgement to ensure that the estimate of loss arrived at on the basis of historical information is appropriately adjusted to reflect the economic conditions and product mix at the reporting date. The loss rates are regularly benchmarked against actual loss experience.

In assessing the need for collective loss provision, management considers factors such as credit quality (such as loan to collateral ratio, level of restructured performing loans, level of arrears, credit utilization etc.) portfolio size, judgements on the effect of concentration of risks and economic factors (including levels of unemployment, inflation, interest rates).

2.9.4 Impairment of Available for Sale Investments

The Group reviews its debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgment as applied on the individual assessment of loans and advances.

The Group also records impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost. The determination of what is 'significant' or 'prolonged' requires judgment. In making this judgment, the Group evaluates, among other factors, historical share price movements, duration and extent up to which the fair value of an investment is less than its cost.

2.9.5 Taxation

The Group is subject to income taxes and other taxes including VAT on financial services. Significant judgement was required to determine the total provision for current, deferred and other taxes pending the issue of tax guidelines on the treatment of the adoption of SLFRS in the Financial Statements and the taxable profit for the purpose of imposition of taxes. Uncertainties exist, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these financial statements. The Group recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income, deferred and tax amounts in the period in which the determination is made.

2.9.6 Deferred Tax Assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against which such tax losses can be set-off. Judgement is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and level of future taxable profits, together with the future tax-planning strategies.

2.9.7 Defined Benefit Plans

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates etc. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Group.

2.9.8 Fair Value of Property and Equipment

The Land and Buildings of the Group are reflected at fair value. The Group engaged independent valuation specialist to determine fair value of land and building. When current market prices of similar assets are available, such evidences are considered in estimating fair values of these assets.

2.9.9 Fair Value of Financial Instruments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The Group measures fair value using the fair value hierarchy that reflects the significant of input used in making measurements.

2.10 Events after the Reporting Period

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorized for issue.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied by the Group in preparation of the Financial Statements are included below. The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements of the Group, unless otherwise indicated.

3.1 Basis of Consolidation

The Group's Financial Statements comprise consolidation of the Financial Statements of the Company and its Subsidiaries in terms of the Sri Lanka Accounting Standard – SLFRS 12 (Consolidation Financial Statements).

3.1.1 Business Combinations and Goodwill

Business combinations are accounted for using the acquisition method as per the requirements of Sri Lanka Accounting Standard – SLFRS 03 (Business Combinations.)

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognised amount of any non-controlling interests in the acquire, less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interest at its fair value, or at its proportionate share of the recognized amount of the identifiable net assets, at the acquisition date.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Transactions costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

3.1.2 Subsidiaries

Subsidiaries are those enterprises controlled by the Company. Control exists when the Company (the Parent) holds more than 50% of the voting rights and/or has the power, directly or indirectly, to govern the financial and operational policies of an enterprise to obtain benefits from its activities.

The Financial Statements of Subsidiaries are fully consolidated from the date on which control is transferred to the Company and continue to be consolidated until the date when such control ceases. The Financial Statements of the Company's Subsidiaries are same reporting year as per the Company.

3.1.2 Subsidiaries (Continued)

The cost of an acquisition is measured at fair value of the consideration, including contingent consideration, given on the date of transfer of title. The acquired identifiable assets, liabilities and contingent liabilities are measured at their fair values at the date of acquisition. Subsequent to the initial measurement the Company continues to recognize the investments in Subsidiaries at cost.

The total assets and liabilities of the Subsidiaries as at the reporting date are included in the Consolidated Statements of Financial Position. The total profit or loss for the year of the Subsidiaries is included in the Consolidated Statements of Profit or Loss.

The non-controlling interest is presented in the Consolidated Statements of Financial Position within equity; separately from the equity attributable to the equity holders of the Company. Non-controlling interest in the profit or loss of the Group is disclosed in the Consolidated Statement of Comprehensive Income. Total Comprehensive income is allocated to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Where Subsidiaries have been acquired or sold during the year, their operating results have been included from the date of acquisition or to the date of disposal.

Upon the loss of control, the Group derecognized the assets and liabilities of the Subsidiary, any non-controlling interests and the other components of equity related to the Subsidiary. Any surplus or deficit arising on the loss of control is recognized in the Statement of Changes in Equity. If the Group retains any interest in the previous Subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or in accordance with the Group's accounting policy for financial instruments depending on the level of influence retained.

3.1.3 Associates and Jointly Controlled Entities

Associates are those entities which the Group has significant influence, but not control or power to govern the financial and operating policies of the entities so as to obtain benefits from their activities.

The Group Financial Statements include the Group's share of the total recognized gains and losses of associates on an equity accounted basis, from the date that significant influence commences until the date that significant influence ceases.

Accordingly, under the Equity Method, investment in Associates are carried at cost plus post-acquisition changes in the Group's share of net assets of the Associates and are reported as a separate line item in the Statement of Financial Position. The Statement of Profit or Loss reflects the share of current year's profit or loss of the Associates.

When the Group and associate's share of losses exceed the carrying amount of the associate, the carrying amount is reduced to nil and recognition of further losses discontinued except to the extent that the Group has incurred obligations or has made payments on behalf of the Investee.

Jointly controlled entities are those entities where the Group has entered into a contractual agreement to share the control over strategic, financial and operating decisions relating to economic activities of the entities through unanimous consent of other parties sharing control.

3.1.4 Transactions Eliminated on Consolidation

Intra-group balances and any income and expenses arising from intra- group transactions are eliminated in preparing the Consolidated Financial Statements. Unrealized losses are eliminated in the same way as unrealized gains, except that they are only eliminated to the extent that there is no evidence of impairment.

3.2 Foreign Currency Transactions and Balances

Monetary assets and liabilities denominated in foreign currencies have been translated into local currency as per the exchange ruling at the date of the Statement of Financial Position while all non-monetary items are reported at the rate prevailing at the time transactions were affected.

3.3 Cash and Cash Equivalents

Cash and cash equivalents comprise cash in hand, balances with banks, and money at call & short notice.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

They are brought to Financial Statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortized cost in the Statement of Financial Position.

3.4 Financial Instruments – Initial Recognition and Subsequent Measurement

Financial assets within the scope of LKAS 39 are classified as loans and advances, financial investments held to maturity, financial investments available-for-sale, financial investments held for trading or financial assets held for trading pledged as collateral as appropriate. The group determines the classification of its financial assets at initial recognition.

3.4.1 Date of Recognition

All financial assets and liabilities except ‘Regular way traders’ are initially recognised on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. ‘Regular ways trades’ mean purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place.

3.4.2 Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management’s intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

Transaction cost in relation to financial assets and financial liabilities at fair value through profit or loss are dealt with through the Statement of Profit or Loss.

3.4.3 Non-derivative Financial Assets

The Group recognizes non-derivative financial assets by the following four categories:

- Financial assets at fair value through profit or loss
 - a) Held for trading; or
 - b) Designated at fair value through profit or loss
- Held-to maturity investments
- Loans and receivables
- Available-for-sale financial investments

Subsequent measurement of financial assets depends on their classification.

3.4.3.1 Financial Assets at Fair Value through Profit or Loss

A financial asset is classified as fair value through profit or loss if it is held for trading or is designated at fair value through profit or loss.

a) Financial Assets Held for Trading

Financial assets are classified as held for trading if they are acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short-term profit or position taking.

Financial assets held for trading are recorded in the Statement of Financial Position at fair value. Changes in fair value are recognized in 'Net trading income'. Interest income on financial assets held for trading are recognised under 'Interest Income' and dividend income is recorded in 'Other Operating Income' according to the terms of the contract, or when the right to the payment has been established.

Financial assets held for trading includes instruments such as Government and other debt securities and equity instrument that have been acquired principally for the purpose of selling or repurchasing in the near term.

b) Financial assets designated at fair value through profit or loss (FVTPL)

Financial assets may be designated by management at fair value through profit or loss in the following circumstances:

- The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or recognizing gains or losses on them on a different basis or
- The assets are part of a group of financial assets, financial liabilities or both, which are managed and their performance evaluated and reported on a fair value basis.

b) Financial assets designated at fair value through profit or loss (FVTPL) (Continued)

Financial assets at fair value through profit or loss are recorded in the Statement of Financial Position at fair value. Changes in fair value are recorded in 'Net gain or loss on financial instrument designated at fair value through profit or loss. Interest earned or incurred is accrued in 'Interest income' using the effective interest rate (EIR), while dividend income is recorded in 'Other operating income' when the right to the payment has been established.

3.4.3.2 Held-to-maturity Financial Investments

Held-to-maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the Group has the intention and ability to hold to maturity.

Subsequent to initial recognition, held to maturity financial investments are measured at amortised cost using the Effective Interest Rate (EIR), less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the EIR. The amortisation is included in 'Interest income' in the Statement of Profit or Loss. The losses arising from impairment of such investments are recognised in the Statement of Profit or Loss line 'Impairment gain/(loss) on financial investment'.

If the Group were to sell or reclassify more than an insignificant amount of held to maturity investments before maturity (other than in certain specific circumstances), the entire category would be tainted and would have to be reclassified as Available-for-sale. Furthermore, the Group would be prohibited from classifying any financial asset as held to maturity during the following two years. The Group has not designated any financial instrument as Held-to-Maturity Financial Investment.

3.4.3.3 Due from Banks and Loans and Receivables from Customers

Due from banks and loans & receivables from customers include non- derivative financial assets with fixed or determinable payments that are not quoted in an active market.

'Due from banks and loans and receivables from customers' include Loans and Advances and Lease Receivables of the Group.

After initial measurement, amounts 'Due from banks' and 'Loans and receivables from customers' are subsequently measured at amortised cost using the EIR, less provision for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'Interest income' in the Statement of Profit or Loss. The losses arising from impairment are recognised in the Statement of Profit or loss in 'Impairment charges on loans & other losses'.

3.4.3.4 Available for Sale Financial Investments

Available for sale investments include equity and debt securities. Equity investments classified as available for sale are those which are neither classified as held for trading nor designated at fair value through profit or loss. Debt securities in this category are intended to be held for an indefinite period of time and may be sold in response to needs for liquidity or in response to changes in the market conditions. The Group has not designated any loans or receivables as available for sale. After initial measurement, available for sale financial investments are subsequently measured at fair value.

3.4.3.4 Available for Sale Financial Investments (Continued)

Unrealised gains and losses are recognised directly in equity through Other Comprehensive Income in the 'Available for sale reserve'. When the investment is disposed of, the cumulative gain or loss previously recognised in Equity is recognised in the Statement of Profit or Loss in 'Other operating income'. Where the Group hold more than one investment in the same security, they are deemed to be disposed of on a first-in first-out basis. Interest earned whilst holding available for sale financial investments is reported as Interest Income using the EIR. Dividends earned whilst holding available for sale financial investments are recognised in the Statement of Profit or Loss as 'other operating income' when the right to receive the payment has been established. The losses arising from impairment of such investments are recognised in the Statement of Profit or Loss in '**Impairment losses on financial investments**' and removed from the 'Available for sale reserve'.

3.4.4 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Group immediately recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in 'Net trading income'.

3.4.5 Reclassification of Financial Instruments

The Group may reclassify financial assets (other than those designated at FVTPL upon initial recognition), in certain circumstances:

- out of the 'held for trading' category and into the 'available for sale' or 'loans and receivables', or 'held to maturity' categories.
- out of the 'available for sale' category and into the 'loans and receivables', 'held for trading category' or 'held- to-maturity'.

Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost. For a financial asset with a fixed maturity reclassified out of the 'available for sale' category, any previous gain or loss on that asset that has been recognised in Equity is amortised to profit or loss over the remaining life of the asset using the EIR. In the case of a financial asset does not have a fixed maturity, the gain or loss is recognised in the profit or loss when the financial asset sold or disposed of. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the Statement of Profit or Loss.

Out of the 'held for trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the Group has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is reclassified, and if the Group subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the EIR from the date of the change in estimate.

Reclassification is at the election of management, and is determined on an instrument by instrument basis.

3.4.6 Derecognition of Financial Assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a ‘pass-through’ arrangement; and either:
 - The Group has transferred substantially all the risks and rewards of the asset; or
 - The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset, and consideration received and any cumulative gain or loss that had been recognised in the Other Comprehensive Income is recognised in the profit or loss.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group’s continuing involvement in the asset. In that case, the Group also recognises an associated liability.

The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

3.4.7 Impairment of Financial Assets

The Group assesses at each reporting date, whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an ‘incurred loss event’) and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

3.4.7.1 Loans, advances to customers, leases and hire purchases

Losses for impaired loans are recognised promptly when there is objective evidence that impairment of a loan or portfolio of loans has occurred. Impairment allowances are calculated on individual loans and for groups of loans, this is done collectively. Impairment losses are recorded as charges to the Statement of Profit or Loss. The carrying amount of impaired loans on the reporting date is reduced through the use of impairment allowance accounts. Losses expected from future events are not recognised.

3.4.7.1 Loans, advances to customers, leases and hire purchases (Continued)

Individually assessed loans & advances, leases and hire purchases

For all loans that are considered individually significant, the Group assesses on a case-by-case basis at each end of the reporting date whether there is any objective evidence that a loan is impaired. The criteria used to determine that there is such objective evidence includes:

- known cash flow difficulties experienced by the borrower;
- past due contractual payments of either principal or interest;
- breach of loan covenants or conditions;
- the probability that the borrower will enter bankruptcy or other financial realisation; and
- a significant downgrading in credit rating by an external credit rating agency.

For those loans where objective evidence of impairment exists, impairment losses are determined considering the following factors:

- Group's aggregate exposure to the customer;
- the viability of the customer's business model and their capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations;
- the amount and timing of expected receipts and recoveries;
- the complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
- the realisable value of security and likelihood of successful repossession; and
- the likely deduction of any costs involved in recovery of amounts outstanding;

Impairment losses are calculated by discounting the expected future cash flows of a loan at its original effective interest rate and comparing the present value with the loan's current carrying amount. The impairment allowances on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment allowances are only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

Collectively assessed loans, advances, leases and hire purchases

Impairment is assessed on a collective basis in two circumstances:

- to cover losses which have been incurred but have not yet been identified on loans subject to individual assessment; and
- for homogeneous groups of loans that are not considered individually significant.

3.4.7.1 Loans, advances to customers, leases and hire purchases (Continued)

Incurred but not yet identified impairment

Individually assessed loans for which no evidence of loss has been specifically identified on an individual basis are grouped together according to their credit risk characteristics for the purpose of calculating an estimated collective loss. This reflects impairment losses that the Group has incurred as a result of events occurring before the reporting date, which the Group is not able to identify on an individual loan basis, and that can be reliably estimated. These losses will only be individually identified in the future. As soon as information becomes available which identifies losses on individual loans within the group, those loans are removed from the group and assessed on an individual basis for impairment.

The collective impairment allowance is determined after taking into account:

- historical loss experience in portfolios of similar credit risk; and
- management's experienced judgment as to whether current economic and credit conditions are such that the actual level of inherent losses at the end of the reporting date is likely to be greater or less than that suggested by historical experience.

Homogeneous groups of loans, advances, leases and hire purchases

Statistical methods are used to determine impairment losses on a collective basis for homogeneous groups of loans. Losses in these groups of loans are recorded on an individual basis when individual loans are written off, at which point they are removed from the group.

Following method is used to calculate historical loss experience on a collective basis:

- Net flow Rate method

Under this methodology the movement in the outstanding balance of customers in to bad categories over the periods are used to estimate the amount of loans that will eventually be written off as a result of the events occurring before the end of the reporting date which the Group is not able to identify on an individual loan basis, and that can be reliably estimated.

Under above methodology, loans are grouped into ranges according to the number of days in arrears and statistical analysis is used to estimate the likelihood that loans in each range will progress through the various stages of delinquency, and ultimately prove irrecoverable.

Current economic conditions and portfolio risk factors are also evaluated when calculating the appropriate level of allowance required covering inherent loss.

These additional macro and portfolio risk factors may include:

- Recent loan portfolio growth and product mix,
- Unemployment rates, Gross Domestic Production (GDP) growth, inflation
- Exchange rates, interest rates
- Changes in government laws and regulations

3.4.7.1 Loans, advances to customers, leases and hire purchases (Continued)

Write-off of loans, advances, leases and hire purchases

Loans, advances, leases and hire purchases (and the related impairment allowance accounts) are normally written off, either partially or in full, when there are no realistic prospects of recovery. Where such balances are secured, these are generally after receipt of any proceeds from the realisation of security.

Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the impairment allowance account accordingly. The write-back is recognised in the Statement of Profit or Loss.

3.4.7.2 Available for sale financial investments

For available for sale financial investments, the Group assesses at each reporting date whether there is objective evidence that an investment is impaired. In the case of debt instruments classified as available for sale, the Group assesses individually whether there is objective evidence of impairment.

However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the Statement of Profit or loss. Future interest income is based on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

The interest income is recorded as part of 'Interest and similar income'. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognised in the Statement of Profit or Loss, the impairment loss is reversed through the Statement of Profit or Loss.

In the case of equity investments classified as available for sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in the Statement of Profit or Loss is removed from equity and recognised in the Statement of Profit or Loss. Impairment losses on equity investments are not reversed through the Statement of Profit or Loss; increases in the fair value after impairment are recognised in Other Comprehensive Income.

3.4.7.3 Held-to-maturity financial assets

An impairment loss in respect of held-to-maturity financial assets measured at amortised cost is calculated as the difference between its carrying amount and the present value of estimated future cash flows discounted at the asset's original EIR and is recognized in profit or loss. Interest on impaired assets continues to be recognized through the unwinding of discount. When a subsequent event caused the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

3.4.8 Collateral valuation

The Group seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, gold, real estate, receivables, and other non-financial assets. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

Non-financial collateral, such as real estate, is valued based on data provided by third parties such as independent valuers and other independent sources.

3.4.9 Collateral repossessed

The Group's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

3.4.10 Repurchase agreement

Securities purchased under agreements to resell at a specified future date are not recognised in the Statement of Financial Position. The consideration paid, including accrued interest, is recorded in the Statement of Financial Position, within 'Other Financial Assets, reflecting the transaction's economic substance as a loan by the Group. The difference between the purchase and resale prices is recorded in 'Net interest income' and is accrued over the life of the agreement using the EIR.

If securities purchased under agreement to resell are subsequently sold to third parties, the obligation to return the securities is recorded as a short sale within 'Financial liabilities held for trading' and measured at fair value with any gains or losses included in 'Net trading income'.

3.5 Non – Financial Asset

3.5.1 Property, Plant and Equipment

Property, Plant & Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially Property, Plant & Equipment are measured at its cost.

Recognition and measurement

Cost Model

Property, Plant and Equipment is stated at cost except land and building, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the equipment when that cost is incurred, if the recognition criteria are met.

3.5.1 Property, Plant and Equipment (Continued)**Revaluation Model**

Land and buildings are measured at fair value, less depreciation on buildings and impairment charged subsequent to the date of the revaluation. Valuations are performed every 3 to 5 years to ensure that the fair value of revalued asset does not differ materially from its carrying amount.

Any revaluation surplus is credited to the Revaluation Reserve included in the Equity of the Statement of Financial Position, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in Statement of Profit or Loss, in which case the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss, except that a deficit directly offsetting a previous surplus on the same asset is directly offset against the surplus in the asset Revaluation Reserve.

Subsequent Cost

These are costs that are recognised in the carrying amount of an asset if it is probable that the future economic benefits embodied within that part of the cost will flow to the Group and it can be reliably measured. The costs of the day-to-day servicing of property and equipment are recognised in profit or loss as incurred.

Depreciation

The provision for depreciation is calculated by using both reducing balance method and straight-line method to write down the cost or valuation of the Property, Plant & Equipment to their residual values over the periods appropriate to the estimated useful lives of different types of assets stated below other than freehold land of the Group.

Category of Asset	Rate of Depreciation per annum %
Building	5
Office Equipment	12.5 - 15
Plant & Machinery	15
Furniture & Fittings	10
Cutlery & Crockery	50
Motor Vehicles	15 -25
Computers	33.33
Water Sanitation	10

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

3.5.1 Property, Plant and Equipment (Continued)

Derecognition

Property, Plant and Equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other Operating Income' in the Statement of Profit or Loss in the year the asset is derecognised.

3.5.2 Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU's fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

For assets, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss.

3.6 Finance and Operating Leases

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

3.6.1 Finance Lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as finance leases. When the Group is a lessor under finance leases the amounts due under the leases, after deduction of unearned charges, are included in 'Loans and advances to Group's or 'Loans and advances to customers', as appropriate. The finance income receivable is recognised in 'Net Interest Income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

3.6.1 Finance Lease (Continued)

When the Group is a lessee under finance leases, the leased assets are capitalised and included in 'Property, Plant and Equipment' and the corresponding liability to the lessor is included in 'Other Liabilities'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognised in 'Net Interest Income' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

3.6.2 Operating Lease

All other leases are classified as operating leases. When acting as lessor, the Group includes the assets subject to operating leases in 'Property, Plant and Equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired. When the Group is the lessee, leased assets are not recognised on the Statement of Financial Position. Rentals payable and receivable under operating leases are accounted for on a straight-line basis over the periods of the leases and are included in 'General and administrative expenses' and 'Other Operating Income', respectively.

3.7 Financial Liabilities

3.7.1 Initial recognition and measurement

Financial liabilities within the scope of LKAS 39 are classified as due to customers (Deposits), due to banks, debt issued and other borrowed funds and other financial liabilities as appropriate. The Group determines the classification of its financial liabilities at initial recognition.

The Group classifies financial liabilities as other financial liabilities in accordance with the substance of the contractual arrangement and the definitions of financial liabilities.

The Group recognizes financial liabilities in the Statement of Financial Position when the Group becomes a party to the contractual provisions of the financial liability.

3.7.2 Financial Liabilities at Fair Value through Profit or Loss (FVTPL)

Financial liabilities at FVTPL include financial liabilities held-for-trading and financial liabilities designated as such upon initial recognition as at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are measured at fair value, and changes there in recognized in the Statement of Profit or Loss.

Upon initial recognition, transaction cost are directly attributable to the acquisition are recognized in Statement of Profit or Loss as incurred. The criteria for designation of financial liabilities at FVTPL upon initial recognition are the same as those of financial assets at FVTPL. The Group has not designated any financial liabilities upon initial recognition as at fair value through profit or loss.

3.7.3 Other Financial Liabilities

Other financial liabilities including Due to Customers (Deposits), Due to Banks, Debt issued and Other Borrowed Funds. Other financial liabilities are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the EIR method.

3.7.3 Other Financial Liabilities (Continued)

Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is included in 'Interest Expenses' in the Statement of Profit or Loss.

3.7.4 Derecognition of Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in Statement of Profit or Loss.

3.8 Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The amount recognised is the best estimate of the consideration required to settle the present obligation at the Reporting date, taking in to account the risks and uncertainties surrounding the obligation at that date. The expense relating to any provision is presented in the Statement of Profit or Lossnet of any reimbursement.

3.9 Retirement Benefit Obligations

(i) Gratuity

All the employees of the Group are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983.

Employees those who have resigned or whose services are terminated other than by retirement are eligible to receive the terminal gratuity under the Payment of Gratuity Act No. 12 of 1983 at the rate of one half of the gross salary applicable to the last month of the financial year in which the employment is terminated or resigned, for each year of completed service, for those who have served in excess of 5 years.

The Group operates an approved non-contributory Gratuity Fund to facilitate the Gratuity payments to the retiring employees of the Group. The Group determines the adequacy of gratuity liability in terms of Payment of Gratuity Act No.12 of 1983. In order to meet this liability, the Group carry forward a provision in the Statement of Financial Position, based on:

- Half a month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who complete service 5 to 10 years,
- One month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who complete service over 10 years but not exceeding 15 years,
- One and half month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who complete service over 15 years but not exceeding 25 years.
- Two months' salary of the last month's salary of the financial year for each completed year of service for all permanent employees who complete service over 25 years.

3.9 Retirement Benefit Obligations (Continued)

An actuarial valuation is carried out as every year end to ascertain the full liability under gratuity. The valuation was carried out as at 31st March 2016 by M/s Actuarial & Management Consultants (Pvt) Limited, a firm of professional actuaries based on the Projected Unit Credit Method recommended by the actuarial present value of the defined benefit obligation (PV-DBO) under the PUC method.

Recognition of Actuarial Losses / Gains

The Group recognised the total actuarial gain and losses that arise in calculating the Group's obligation in respect of gratuity in other comprehensive income during the period which it occurs.

Recognition of Past Service Cost (Applicable only when a plan has been changed)

Past Service Cost are recognized as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the instruction of, or changes to the plan, past service costs are recognized immediately.

Management of the Fund's Assets

The assets of the Gratuity Fund and the Employees' Provident Fund are held separately from those of the Group and are independently administered by a separate management team appointed by the Group. As at 31st March 2016 fair value of plan assets is Rs. 117,058,229/- (2015 - Rs.78,968,050/-)

(ii) Defined contribution plan

The Group also operates a defined contribution plan. The contribution payable to a defined contribution plan is in proportion to the services rendered to the Group by the employees and is recorded as an expense under 'Personnel expenses'. Unpaid contributions are recorded as a liability.

The Group contributes to the following Schemes:

Employees' Provident Fund

The Parent company and employees contribute 20% and 10% respectively of the employee's monthly gross salary to the Employees' Provident Fund.

The subsidiary company and employees contribute 12% and 8% respectively of the employee's monthly gross salary to the Employees' Provident Fund.

Employees' Trust Fund

The Group contributes 3% of the employee's monthly gross salary excluding overtime to the Employees' Trust Fund maintained by the Employees Trust Fund Board.

3.10 Taxation

As per the Sri Lanka Accounting Standard –LKAS 12 on 'Income Taxes' tax expense (Tax income) is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxes. Income tax expense is recognised in the Statement of Profit or Loss except to the extent it relates to items recognised directly in Equity or in Other Comprehensive Income (OCI), in which case it is recognised in Equity or in OCI.

3.11 Current Taxation

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted by the end of the reporting period. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for the taxation purpose in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto.

3.12 Deferred tax

(i) Deferred Taxation

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax assets are recognised for all deductible differences, carried forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profits will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of a deferred tax asset is reviewed at end of the reporting period and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax asset are reassessed at end of the reporting period and are recognise to the extent that is probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or subsequently enacted at end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

3.13 Value Added Tax on Financial Services (FVAT)

VAT on Financial Services is calculated in accordance with VAT Act No. 14 of 2002 and subsequent amendment thereto.

3.14 Crop Insurance Levy (CIL)

As per the provisions of the Section 14 of the Finance Act No.12 of 2013, the CIL was introduced with effect from April 01, 2013 and is payable to the National Insurance Trust Fund. Currently CIL is payable at 1% of the profit after tax.

3.15 Withholding Tax on Dividends

Withholding tax that arises from the distribution of dividends by the Group is recognised at the time the liability to pay the related dividend is recognised.

3.16 Commitment and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent Liabilities are not recognized in the Statement of Financial Position but are disclosed unless its occurrence is remote. All discernible risks are accounted for in determining the amount of all known liabilities. Details of commitments and contingencies are given in Note 44.

3.17 Recognition of Income and Expenses

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

3.17.1 Interest Income and Expense

For all financial assets measured at amortised cost, interest bearing financial assets classified as available for sale and financial instruments designated at fair value through profit or loss, interest income or expense is recorded using the EIR method. The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability.

The calculation takes into account all contractual terms of the financial instrument and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses. The carrying amount of the financial asset or financial liability is adjusted if the Group revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original EIR and the change in carrying amount is recorded as 'Interest Income' for financial assets and 'Interest Expense' for financial liabilities.

However, for a reclassified financial asset for which the Group subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the EIR from the date of the change in estimate.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

3.17.2 Fee and Commission Income

The Group earns fee and commission income from a diverse range of services it provides to its customers. Fee income can be divided into the following two categories:

a) Fee income earned from services that are provided over a certain period of time

Fees earned from services that are provided over a period of time are accrued over that period. These fees include commission income from asset management, custody and other management and advisory fees.

b) Fee income from providing transaction services

Fees arising from negotiating or participating in the negotiation of a transaction for a third party, such as the purchase or sale of business is recognized on completion of the underlying transaction. Fees or components of fees that are linked to a certain performance are recognized after fulfilling the corresponding criteria.

3.18 Dividend Income

Dividend income is recognised when the right to receive the payment is established. Usually, this is the ex-dividend date for equity securities. Dividends are presented in the 'Other Operating Income' in Statement of Profit or Loss.

3.19 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities 'held for trading' other than interest income.

3.20 Service Income

Revenue from rendering of services is recognized in the accounting period in which the services are rendered or performed.

3.21 Dividends on Ordinary Shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Group's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the Group. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

3.22 Other Income

The recognition of other income is accounted based on accrual basis.

3.23 Statement of Cash Flows

Statement of Cash Flows has been prepared using the 'Indirect Method', as stipulated in Sri Lanka Accounting Standard - LKAS 7 'Statement of Cash Flows'. Cash and Cash Equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The Cash and Cash Equivalent include cash in hand and balance in banks.

3.24 Earnings per Share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period.

3.25 Operating Segments

A business segment is a distinguishable component of the Group, engaged in providing products or services subject to risks and returns that are different from those of other business segments. Operating results of those segments are reviewed regularly by the Board of Directors to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

The primary business format is based on the core business activities of the Group, namely, Lease, Hire Purchase & Consumer Durable, Loans, Pawning, Hiring of Vehicles, Investing in Shares, Investing in Government Securities, Collaboration Finance & Others.

3.25 Operating Segments (Continued)

The management uses its judgment in determining the compositions of these core business activities taking into account the objective of reporting financial information by segment as set forth in Sri Lanka Accounting Standard, SLFRS 8 “Operating Segments”, Segment Reporting and qualitative characteristics of financial statements as identified in the Framework for the Preparation and Presentation of Financial Statements.

The Group's business activities are carried out in Sri Lanka. Consequently, the economic environment in which the Group operates in is not subject to risk and returns that are significantly deferent on a geographical basis. Hence, disclosure by geographical region has not been provided.

For the purpose of segment reporting disclosures, the information presented in respect of the Group's business segments is based on the Group's management and internal reporting structure.

Income recognised in Segments is income which is directly identified and reported in those Segments and expenses directly identified to a particular Segment are charged accordingly, and, expenses that cannot be directly identified to a particular Segment are allocated on bases decided by the management and applied consistently throughout the period. Unallocated items mainly comprise of Head Office expenses.

Measurement of segments assets, liabilities, segment revenue and results are based on the accounting policies set out below. Segments revenue, results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segments assets that are expected to be used for more than one accounting period.

3.26 New Accounting Standards issued but not Yet Effective as at 31st March 2016

Standard issued but not yet effective up to the date of Group's financial statements are listed below. This listing is of standards issued, which the Group reasonably expects to be applicable at a future date. The Group intends to adopt those standards when they become effective.

(i) SLFRS 9 -Financial Instruments: Classification and Measurement

The objective of this Accounting Standard is to establish principles for the financial reporting of financial assets and financial liabilities that will present relevant and useful information to users of financial statements for their assessment of the amounts, timing and uncertainty of an entity's future cash flows.

The improvements introduced by SLFRS 9 includes a logical model for classification and measurement, a single, forward-looking 'expected loss' impairment model and a substantially-reformed approach to hedge accounting.

An entity shall apply this SLFRS to all items within the scope of LKAS 39 'Financial Instruments: Recognition and Measurement'.

SLFRS 9 is effective for annual reporting periods beginning on or after 1st April 2018, with early adoption permitted.

3.26 New Accounting Standards issued but not Yet Effective as at 31st March 2016 (Continued)

(ii) SLFRS 14 ‘Regulatory Deferral Accounts’

The objective of this Standard is to specify the financial reporting requirements for regulatory deferral account balances that arise when an entity provides goods or services to customers at a price or rate that is subject to rate regulation.

SLFRS 14 will become effective on 1st April 2016. However the Company will not have an impact on financial statements from the application of SLFRS 14.

(iii) SLFRS 15 ‘Revenue from Contracts with Customers’

This Accounting Standard establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including LKAS 18-Revenue, LKAS 11-Construction Contracts and IFRIC 13-Customer Loyalty Programs.

This SLFRS will become effective from 1st April 2017 and shall be applied prospectively as of the beginning of the annual period in which it is initially applied. The disclosure requirements of this SLFRS need not to be applied comparative information provided for periods before initial application of this SLFRS.

The Company is currently in the process of evaluating the potential effect of these standards on its financial statements and the impacts of the adoption of these standards have not been quantified as at the reporting date.